

July 22, 2026 03:21 PM GMT

Investor Presentation | Asia Pacific

Asia Summer School: Asia Beauty – Trends and Cycles

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CHINA/HONG KONG CONSUMER	
Asia Pacific	
Industry View	In-Line

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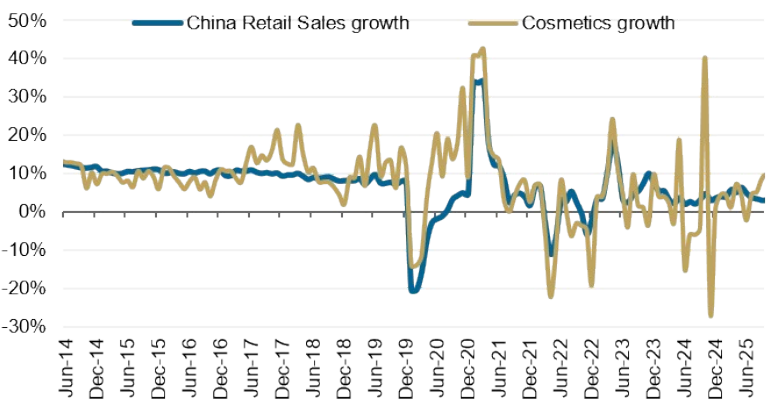
Asia Summer School 2026



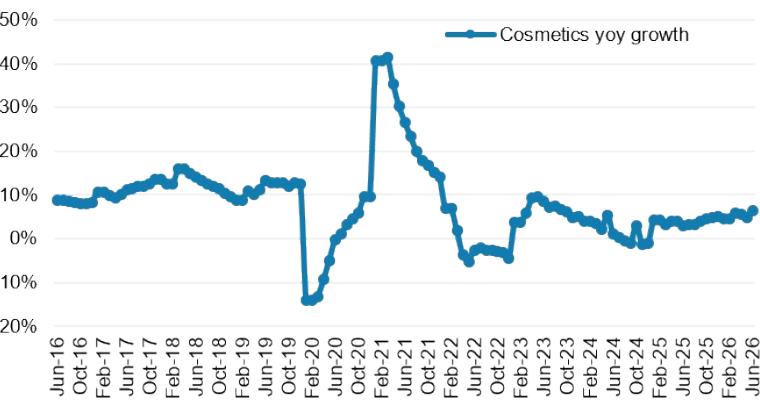
China Beauty Market

NBS Cosmetics Monthly Sales

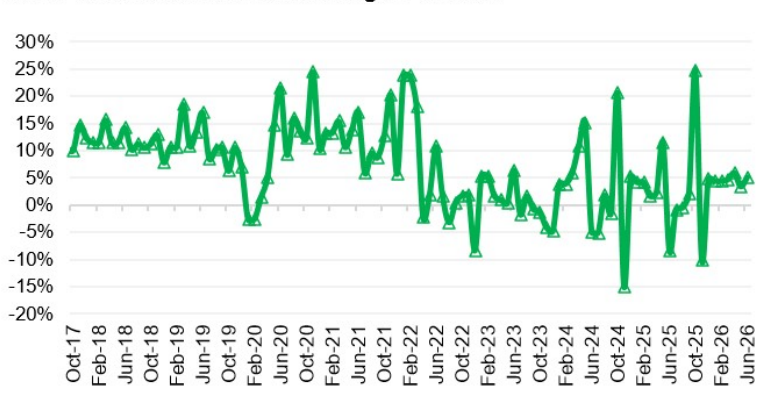
NBS Sales Growth: Cosmetics vs. Total



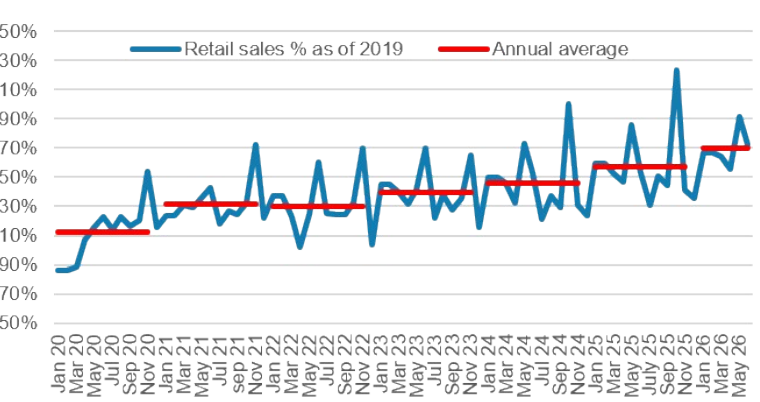
China Retail Sales Cosmetics YoY Growth



China Cosmetics Retail Sales Avg 2Y Growth



Cosmetics Sales vs. 2019 level

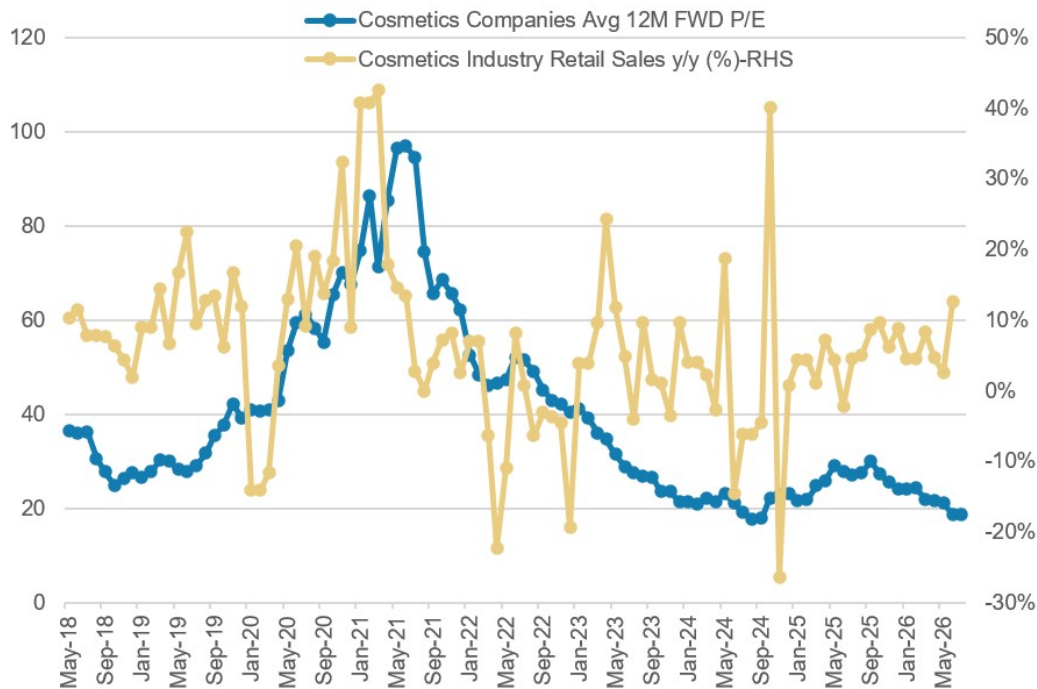


Source: NBS, Morgan Stanley Research

NBS Cosmetics Monthly Sales

China's Cosmetics Sales YoY Growth vs. Chinese Beauty Product Companies' NTM P/E

P/E-NTM



Source: NBS, Factset, Morgan Stanley Research

China Beauty Products Quarterly Sales Tracker

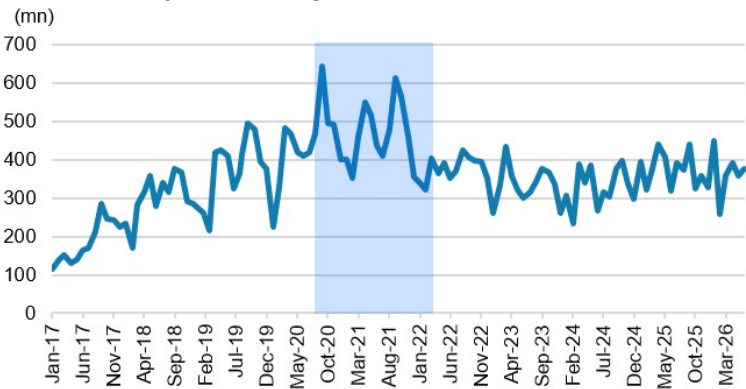
Cosmetics Sales Tracker	1Q21	2Q21	3Q21	4Q21	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26
China - Sales yoy growth																					
Proya	49%	30%	21%	11%	39%	35%	22%	50%	29%	46%	21%	51%	35%	41%	21%	4%	8%	6%	-12%	-8%	-2%
Botanee	59%	45%	47%	57%	59%	37%	21%	11%	7%	21%	26%	-1%	27%	14%	14%	-18%	-14%	-17%	-10%	10%	18%
Marubi	9%	11%	-23%	7%	-5%	-7%	24%	-9%	25%	34%	46%	17%	39%	19%	26%	48%	28%	34%	14%	-1%	4%
Bloomage	111%	100%	66%	87%	62%	45%	29%	5%	4%	5%	-17%	-9%	4%	-18%	-7%	-19%	-21%	-18%	-34%	-31%	-23%
Imeik	228%	130%	75%	73%	66%	21%	55%	6%	46%	83%	18%	56%	28%	2%	1%	-7%	-18%	-25%	-21%	-10%	-4%
AmorePacific	29%	3%	-14%	-11%	-19%	-61%	-46%	-35%	-43%	20%	-15%	-42%	-24%	-54%	-48%	-15%	-20%	29%	14%	-16%	-20%
Sulwhasoo (by AmorePacific)	78%	61%	44%	30%	7%	-55%	-42%	-35%	-51%	-34%	-5%	-64%	-9%	-50%	-58%	20%	-29%	114%	-10%	-57%	-39%
LG H&H	46%	9%	-3%	-3%	-37%	-44%	-37%	-39%	-15%	0%	-25%	-25%	8%	5%	13%	16%	-14%	-13%	-10%	-23%	-17%
Whoo (by LG H&H)	57%	16%	0%	6%	-44%	-44%	-42%	-40%	-6%	2%	-20%	-27%	16%	15%	17%	25%	-17%	-17%	-6%	-21%	-13%
Shiseido - China	47%	42%	-15%	4%	-21%	-19%	20%	3%	3%	21%	-16%	-19%	4%	-2%	-11%	9%					
Shiseido - China & Travel Retail																	-12%	-13%	8%	4%	4%
L'oreal - Luxe	15%	46%	21%	11%	18%	15%	5%	6%	7%	9%	3%	0%	2%	3%	6%	1%	6%	-2%	3%	5%	5%
L'oreal - North Asia	28%	27%	13%	7%	9%	12%	0%	5%	2%	6%	-5%	-6%	-1%	-2%	-7%	-4%	7%	-9%	5%	1%	-4%
Estee Lauder - China															-16%	-10%	4%	-1%	9%	13%	6%

Cosmetics Sales Tracker	1H21	2H21	1H22	2H22	1H23	2H23	1H24	2H24	1H25	2H25
China - Sales yoy growth										
Giant Biogene					63%	39%	58%	56%	23%	-20%
Beauty Farm			-12%	-5%	41%	23%	10%	29%	28%	7%
Bloomage - Functional skincare			77%	17%	-8%	-28%	-30%	-34%	-34%	-52%
Chicmax					26%	84%	121%	26%	17%	54%
Maogeping							41%	29%	31%	29%

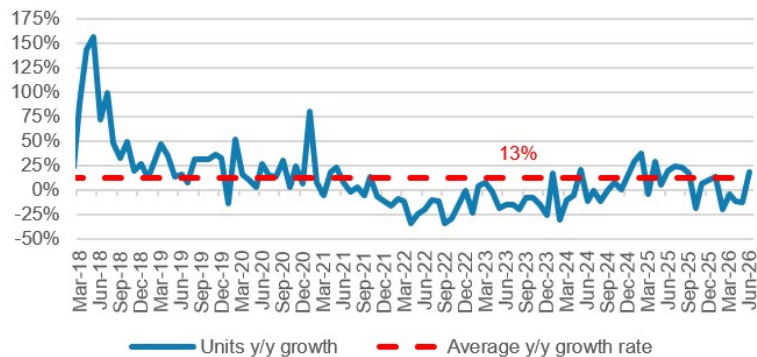
Source: Company data, Morgan Stanley Research

China Cosmetics Import Data

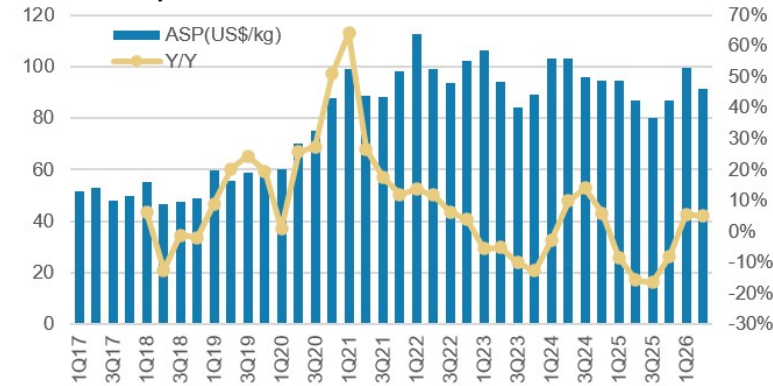
Cosmetics Imports: Monthly Units



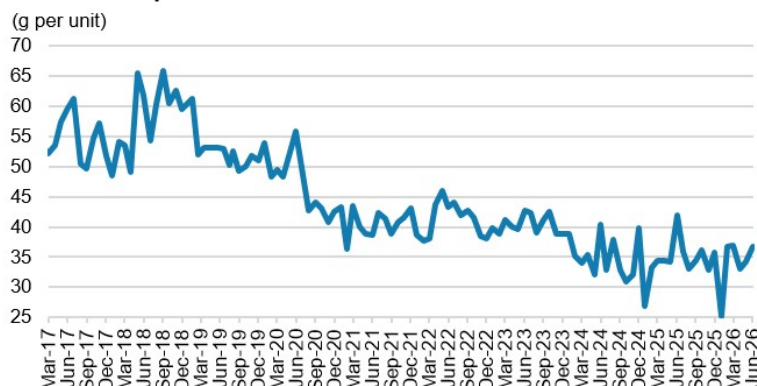
Monthly Cosmetics Import Units y/y Growth



Cosmetics Imports: ASP



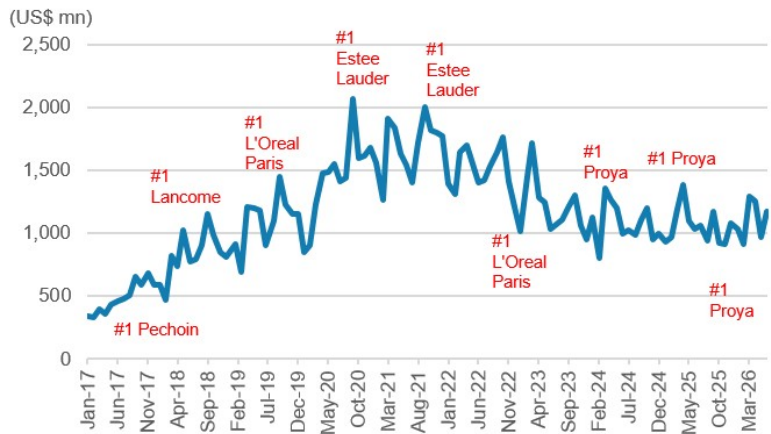
Cosmetics Imports: Unit Size



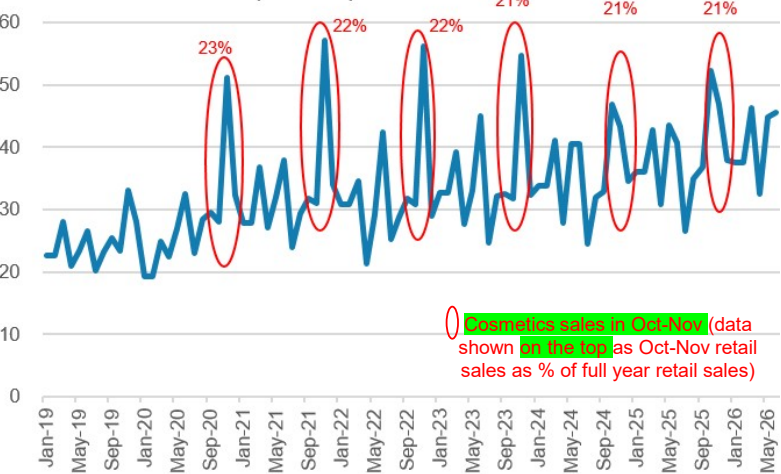
Source: China Customs, Morgan Stanley Research

China Beauty: Trend of 11.11

Cosmetics Imports: Monthly Value



Cosmetics retail sales (Rmb bn)



Source: China Customs, Tmall, NBS, Morgan Stanley Research

Beauty Products: Tmall Ranking in Online Shopping Festivals

Ranking	2024 3.8	2024 6.18	2024 11.11 (Total)	2025 3.8	2025 6.18 (pre-sale May 16th-26th)	2025 6.18	2025.11.11	2026.6.18 (pre-sale 5.21)	2026.6.18 (pre-sale 5.21- 5.27)	2026.6.18 (5.21-6.21)
1	Proya	Proya	Proya	Proya	Proya	Proya	Proya	Proya	Proya	Proya
2	L'Oreal Paris	Lancome	L'Oreal Paris	L'Oreal Paris	Lancome	Lancome	Estee Lauder	SK-II	SkinCeuticals	SkinCeuticals
3	Lancome	L'Oreal Paris	Lancome	Lancome	L'Oreal Paris	L'Oreal Paris	Lancome	Estee Lauder	SK-II	Lancome
4	Estee Lauder	Estee Lauder	Estee Lauder	Estee Lauder	Estee Lauder	Estee Lauder	L'Oreal Paris	SkinCeuticals	Estee Lauder	Estee Lauder
5	Olay	La Mer	La Mer	SkinCeuticals	SkinCeuticals	La Mer	SkinCeuticals	Lancome	Lancome	L'Oreal Paris
6	SkinCeuticals	SkinCeuticals	Helena Rubinstein	La Mer	La Mer	SkinCeuticals	La Mer	Clarins	La Mer	SK-II
7	Clarins	Helena Rubinstein	SkinCeuticals	CPB	SK-II	SK-II	SK-II	La Mer	Clarins	La Mer
8	Winona	SK-II	SK-II	Comfy	Helena Rubinstein	Helena Rubinstein	Winona	Helena Rubinstein	L'Oreal Paris	Clarins
9	CPB	Olay	Winona	YSL	CPB	CPB	Olay	YSL	CPB	CPB
10	La Mer	Winona	Olay	Clarins	Clarins	Clarins	CPB	CPB	Helena Rubinstein	Helena Rubinstein
11	Shiseido	Comfy	CPB	Olay	YSL	YSL	YSL	L'Oreal Paris	Comfy	YSL
12	YSL	Clarins	Guerlain	Shiseido	Comfy	Winona	Helena Rubinstein	Laroche Posay	YSL	Comfy
13	Comfy	Shiseido	Comfy	Helena Rubinstein	OLAY	OLAY	Clarins	Olay	Laroche Posay	Shiseido
14	HR	Kiehl's	Clarins	Winona	Winona	Kiehl's	Guerlain	Timage	Winona	Winona
15	La Roche Posay	La Roche Posay	YSL	SK-II	Shiseido	Shiseido	Shiseido	Fresh	MGP	Olay
16	Chando	Guerlain	Kiehl's	MGP	Kiehl's	Comfy	Kiehl's	Guerlain	Olay	Guerlain
17	Guerlain	Chando	Shiseido	Kiehl's	MGP	Laroche Posay	Laroche Posay	Ulike	Shiseido	MGP
18	SK-II	CPB	La Roche Posay	Laroche Posay	Guerlain	MGP	Comfy	Shiseido	Fresh	Laroche Posay
19	Kiehl's	HBN	Chando	Timage	Laroche Posay	Guerlain	Chando	Winona	Guerlain	Kiehl's
20	HBN	QuadHA	Elizabeth Arden	Guerlain	Timage	Timage	MGP	Kiehls	Fan Beauty	Fresh

Source: Tmall, Morgan Stanley Research. Note: Red highlight represents Chinese brands.

Beauty Products: Douyin Ranking in Online Shopping Festivals

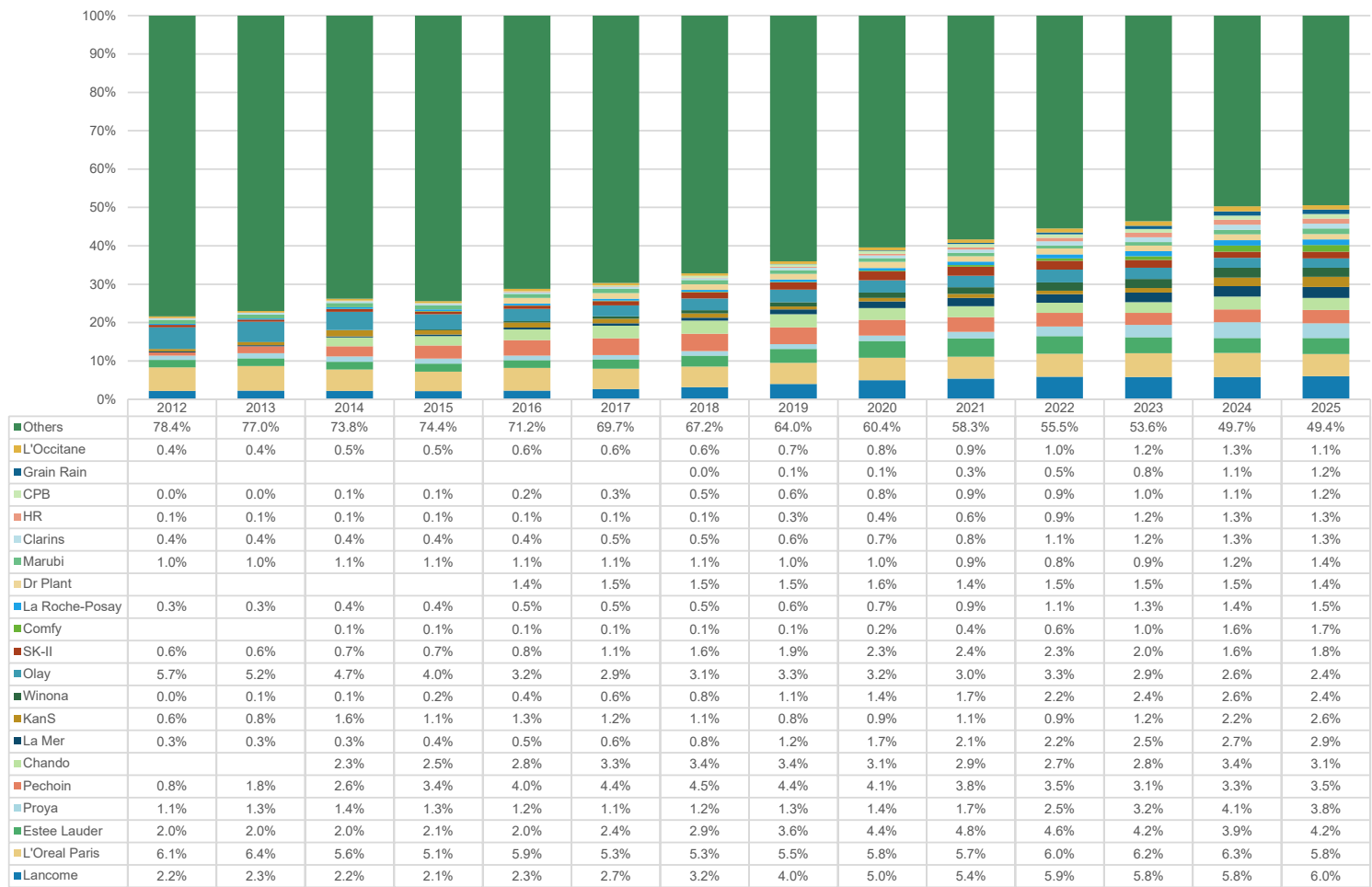
Douyin - Skincare								
Ranking	2024.3.8 Festival (2024.2.28-3.8)	2024.6.18 (5.24-6.18)	2024.11.11 (10.8-11.10)	2024 Full- year	2025.3.8 Festival (2025.2.24-3.8)	2025.6.18 (5.13-6.18)	2025.11.11 (10.9-11.11)	2026.6.18 (5.15-6.18)
1	Kans	Kans	Proya	Kans	Kans	Kans	Kans	Helena Rubinstein
2	Estee Lauder	Proya	Kans	Proya	Proya	Proya	Proya	Estee Lauder
3	Proya	Helena Rubinstein	L'Oreal Paris	L'Oreal Paris	Helena Rubinstein	Helena Rubinstein	L'Oreal Paris	La Mer
4	L'Oreal Paris	Estee Lauder	Comfy	Estee Lauder	Chando	L'Oreal Paris	Helena Rubinstein	Proya
5	Lancome	Lancome	Estee Lauder	Helena Rubinstein	Estee Lauder	Estee Lauder	Grain Rain	Lancome
6	La Mer	Whoo	Helena Rubinstein	La Mer	L'Oreal Paris	La Mer	Pechoin	Kans
7	Whoo	L'Oreal Paris	La Mer	Grain Rain	Marubi	Lancome	Chando	L'Oreal Paris
8	Chando	Comfy	Chando	Chando	Whoo	Chando	Estee Lauder	Chando
9	HR	La Mer	Winona	Comfy	Lancome	SK-II	Whoo	Pechoin
10	Grain Rain	OLAY	Lancome	OSM	La Mer	Whoo	Lancome	SK-II

Douyin - Color Makeup							
Ranking	2024.3.8 Festival (2024.2.28-3.8)	2024.6.18 (5.24-6.18)	2024 Full- year	2025.3.8 Festival (2025.2.24-3.8)	2025.6.18 (5.13 - 6.18)	2025.11.11 (10.9-11.11)	2026.6.18 (5.15-6.18)
1	Florasis	MGP	YSL	MGP	Dirovo	YSL	MGP
2	YSL	YSL	Florasis	YSL	MGP	Dirovo	YSL
3	CPB	Funny Elves	8+ Minutes	Socorskin	YSL	MGP	Dirovo
4	CARSLAN	Pramy	Funny Elves	Passional Lover	Florasis	CARSLAN	CARSLAN
5	Givenchy	AKF	MGP	CPB	Timage	Florasis	Pramy
6	Estee Lauder	CARSLAN	CARSLAN	ELL	MAC	CPB	BABI
7	Pramy	Judy Doll	AKF	Funny Elves	CARSLAN	Timage	Socorskin
8	MGP	Passional Lover	Judy Doll	CARSLAN	Pramy	Flower Lure	MAC
9	AKF	CPB	Passional Lover	Florasis	Flower Knows	MAC	Flower Knows
10	Funny Elves	Givenchy	Funny Elves	Givenchy	ELL	Flower Knows	CPB

Source: Qingyan, Morgan Stanley Research, Note: Red highlight represents Chinese brands.

China Skincare Market Share

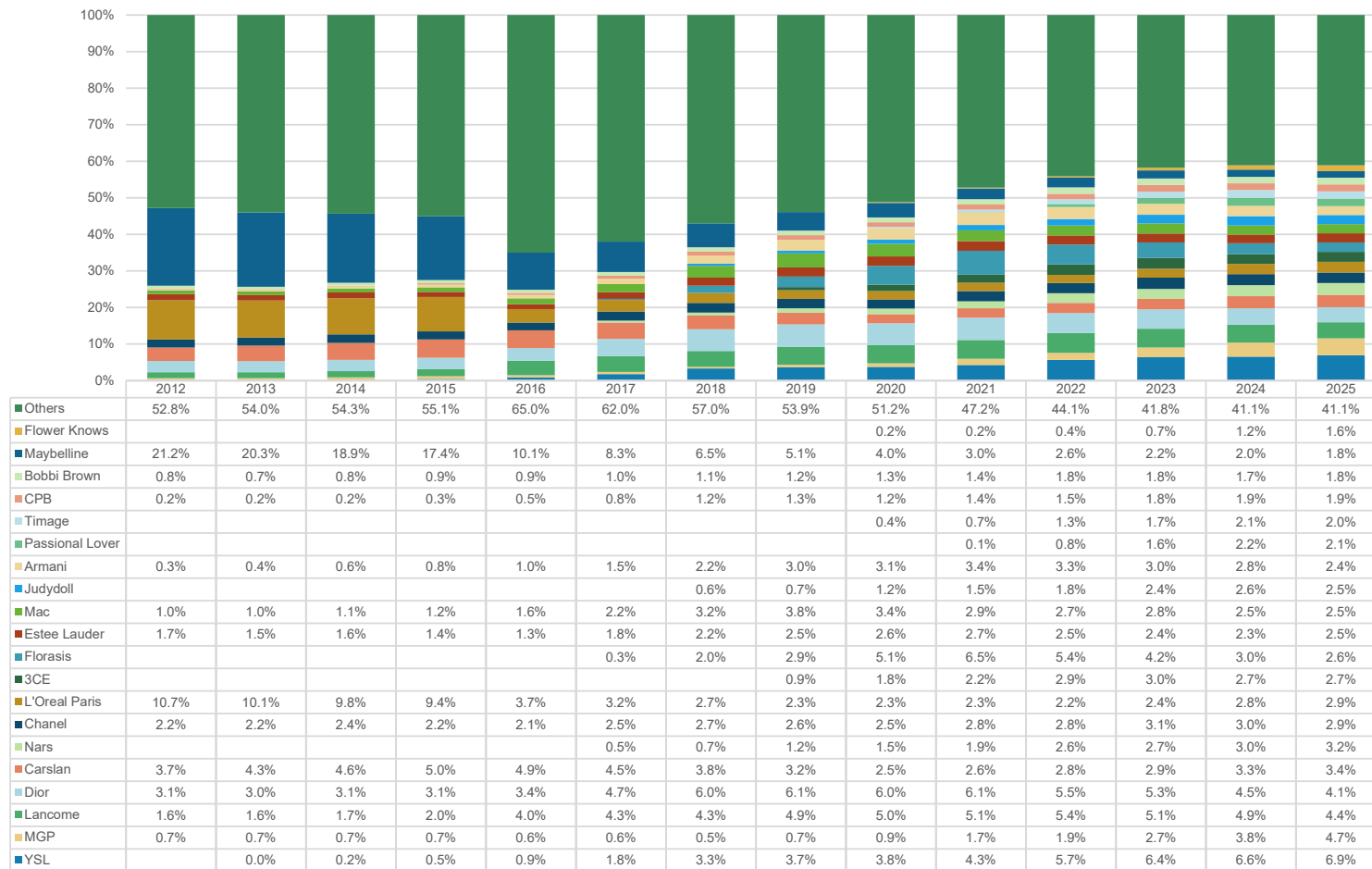
China Skincare Market Share



Source: Euromonitor, Morgan Stanley Research.

China Color Cosmetics Market Share

China Color Cosmetics Market Share

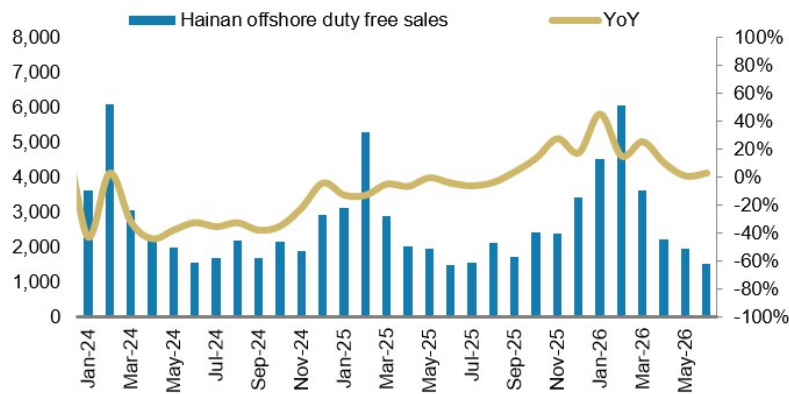


Source: Euromonitor, Morgan Stanley Research.

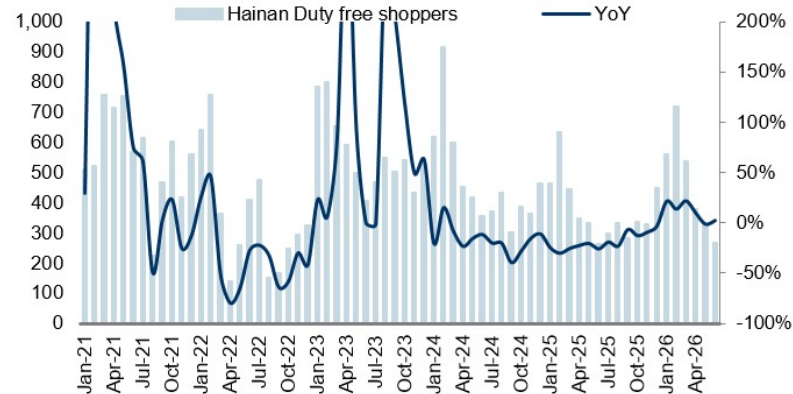
Hainan Duty Free

Hainan Duty Free

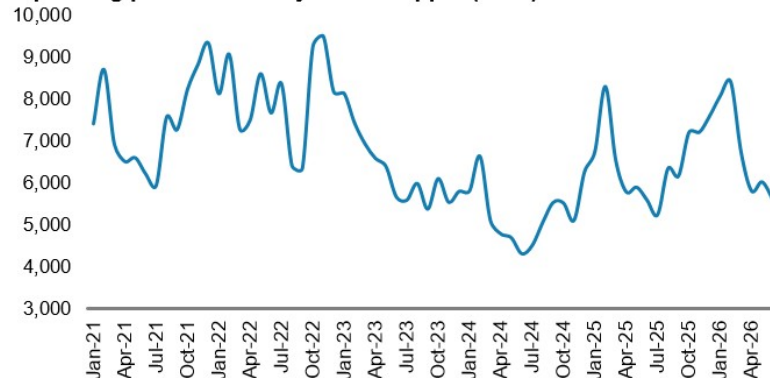
Hainan offline duty free sales (Rmb mn)



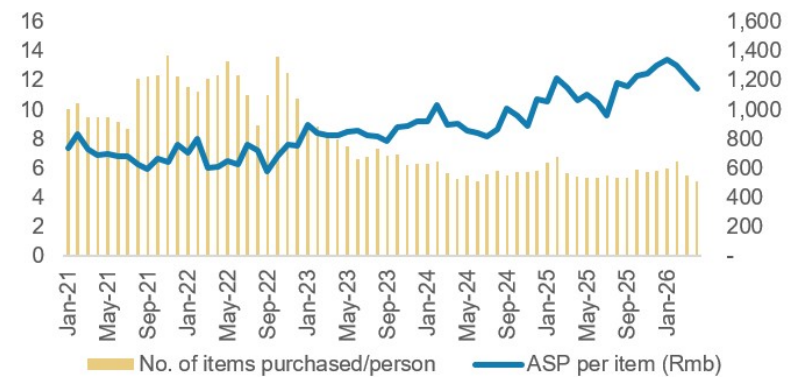
Number of Hainan Duty Free Shoppers (k people)



Spending per Hainan Duty Free Shopper (Rmb)

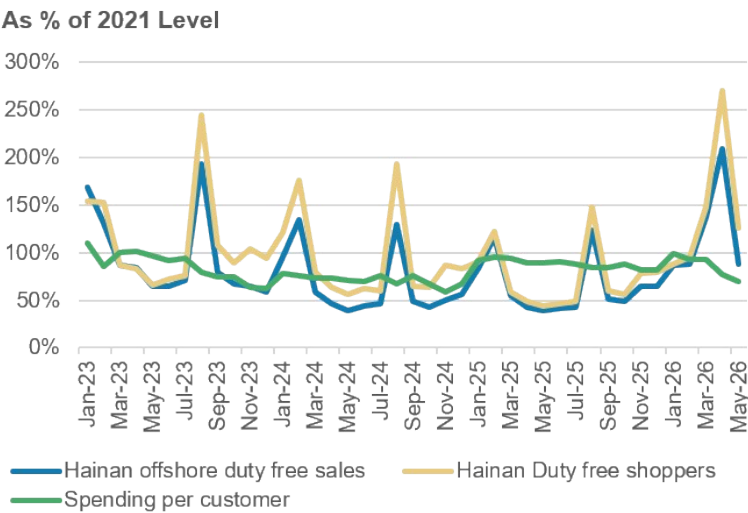


No. of items purchased/person (LHS) and ASP (RHS)



Source: Haikou Customs, Morgan Stanley Research

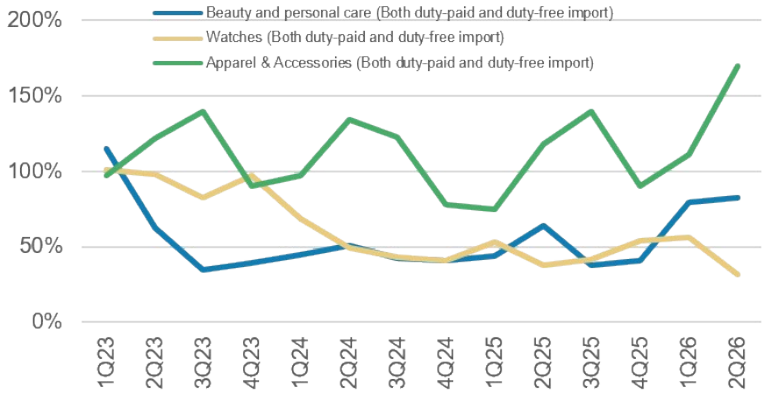
Hainan Offline Duty-Free Sales By Product



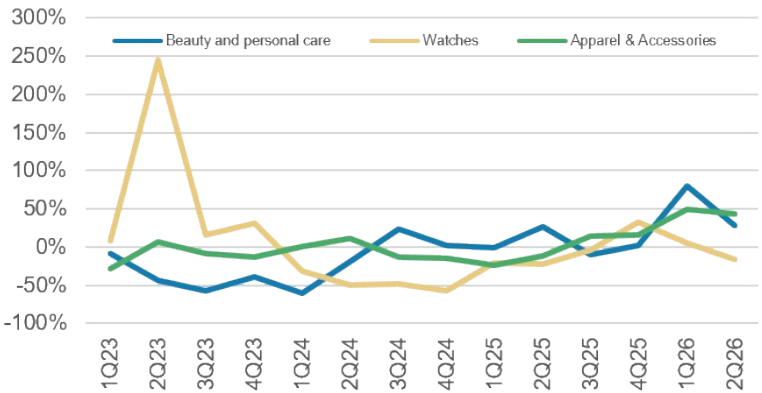
Source: Haikou Customs, Morgan Stanley Research

Hainan Imports

Quarterly Hainan Import Amount as % of 2021 level



Quarterly Hainan Import Amount Y/Y

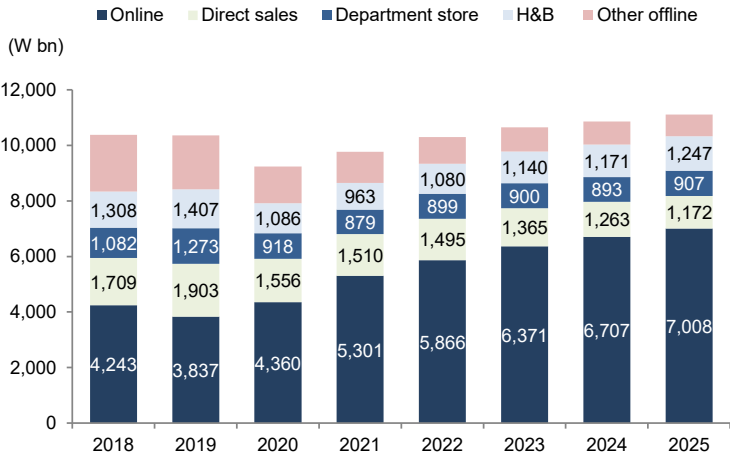


Source: Haikou Customs, Morgan Stanley Research

Korea Beauty Market

Korea: Domestic Market

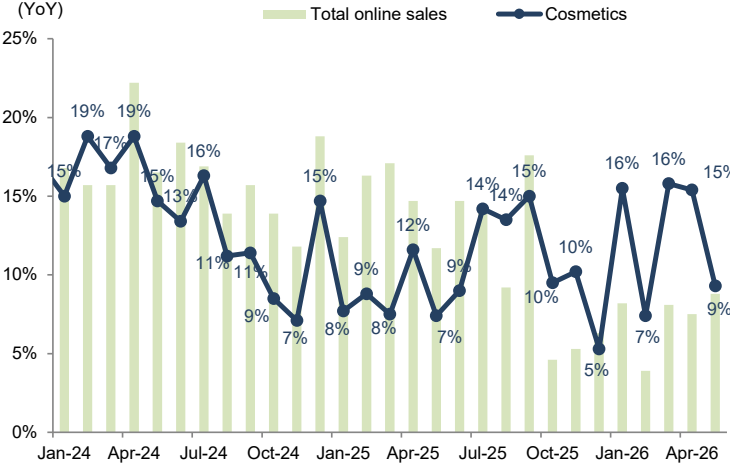
Domestic beauty market channel breakdown



Source: Euromonitor, Morgan Stanley Research.

- Total beauty market size at W11trn in 2025, up 2% YoY
- Online channel sales mix at 63% in 2025

Online beauty sales in major platforms

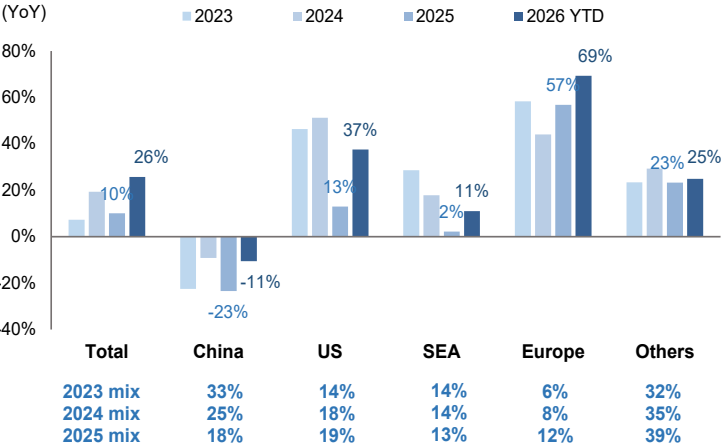


Source: MoTIR, Morgan Stanley Research.

- Online beauty sales up 10% YoY in major platforms in 2025
- Up 13% YoY YTD 2026 (May 2026)

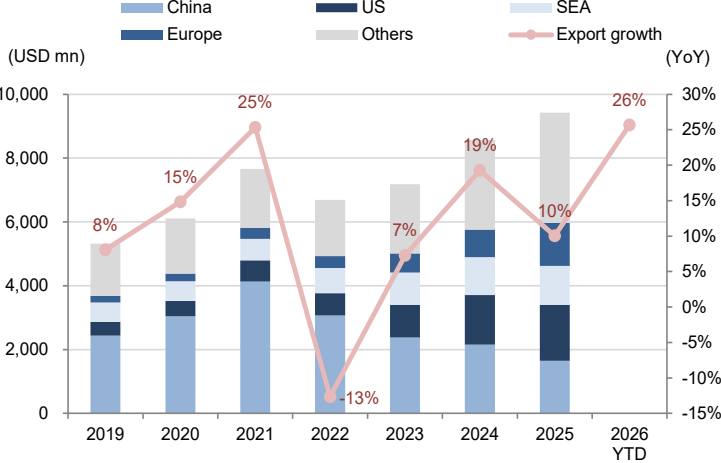
Korea: Exporting K-beauty – Reacceleration and Diversification

Beauty export growth



Note: Based on total cosmetic goods.
Source: Korea Customs Service, Morgan Stanley Research.

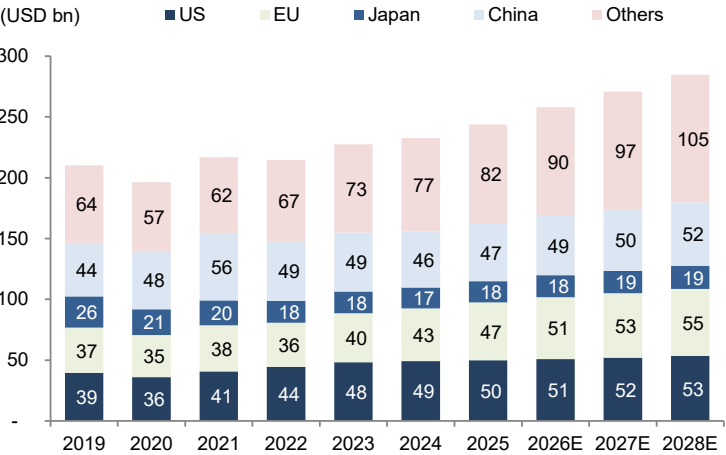
Beauty export growth rebounding in 1H2026



Note: Based on finished cosmetic goods.
Source: Korea Customs Service, E = Morgan Stanley Research estimates.

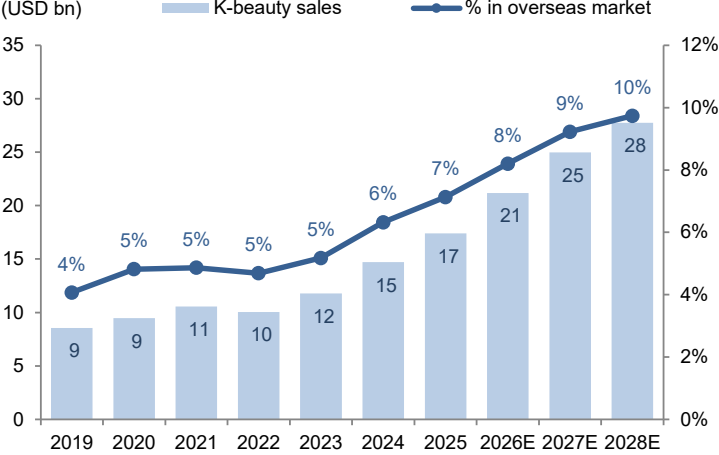
Korea: Exporting K-beauty – Continuous Overseas Share Gain

Global beauty market breakdown



Note: Based on skin care and color cosmetics (make-up)
Source: Euromonitor estimates, Morgan Stanley Research.

K-beauty market share in overseas markets

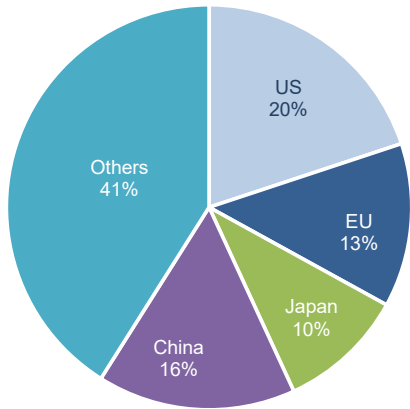


Note: Based on skin care and color cosmetics (make-up)
Source: Euromonitor estimates, Morgan Stanley Research.

Korea: Exporting K-beauty – Rising Online Channel Mix to Help K-beauty Penetration

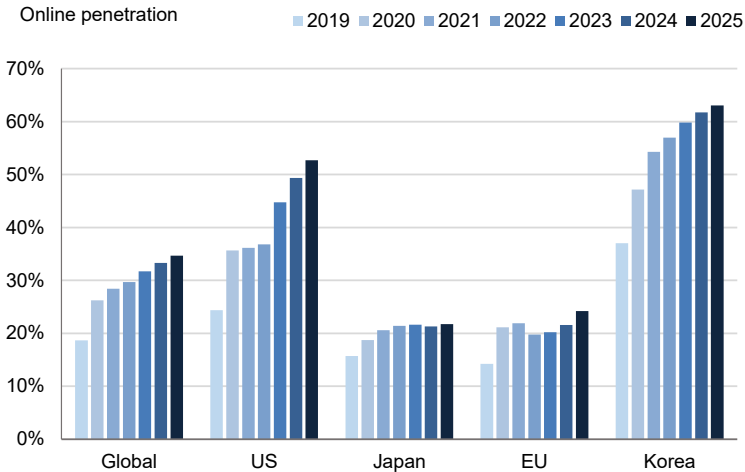
K-beauty sales breakdown (MS estimates)

2025 K-beauty sales breakdown



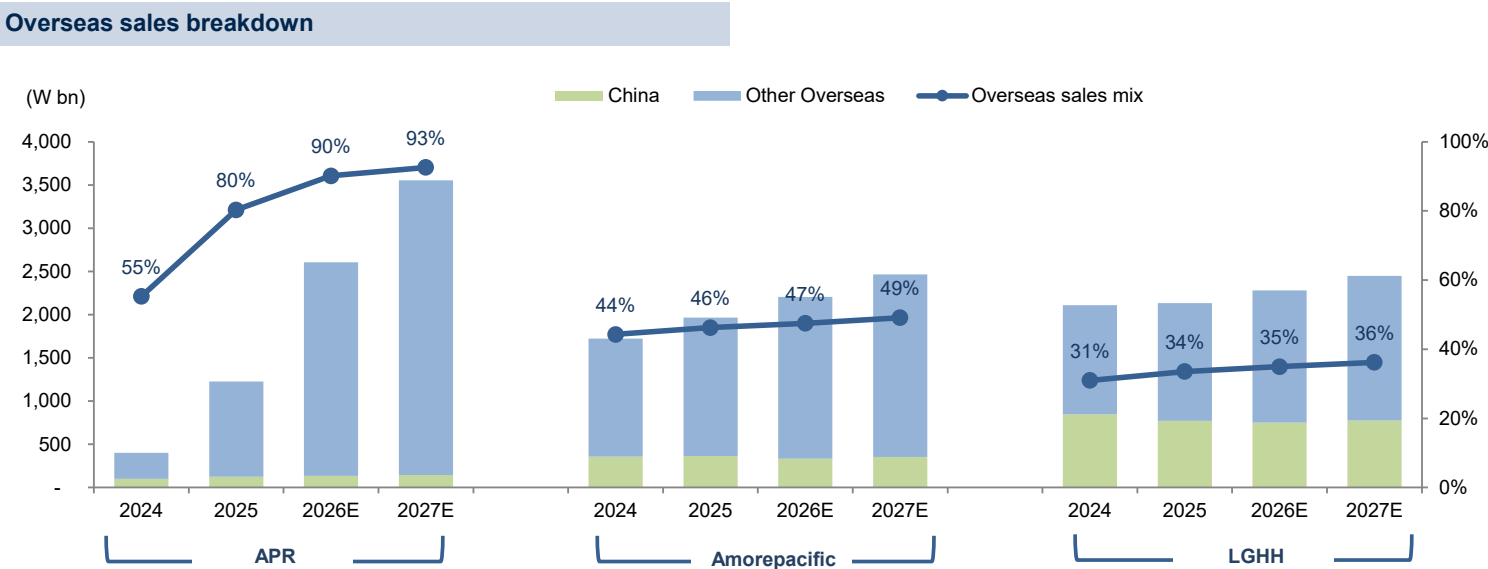
Note: Based on skin care and color cosmetics (make-up)
Source: Euromonitor, Morgan Stanley Research. E = Morgan Stanley Research estimates.

Online penetration in the beauty market



Note: Based on skin care and color cosmetics (make-up)
Source: Euromonitor estimates, Morgan Stanley Research.

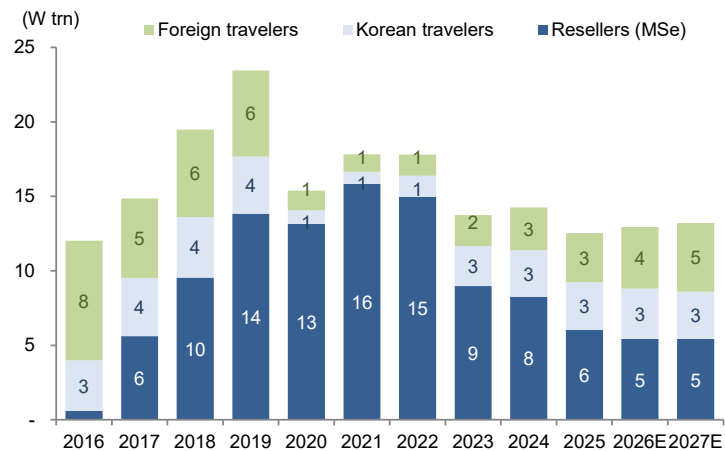
Korea: Major Players' Overseas Sales



Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

Korea: Travel Retail

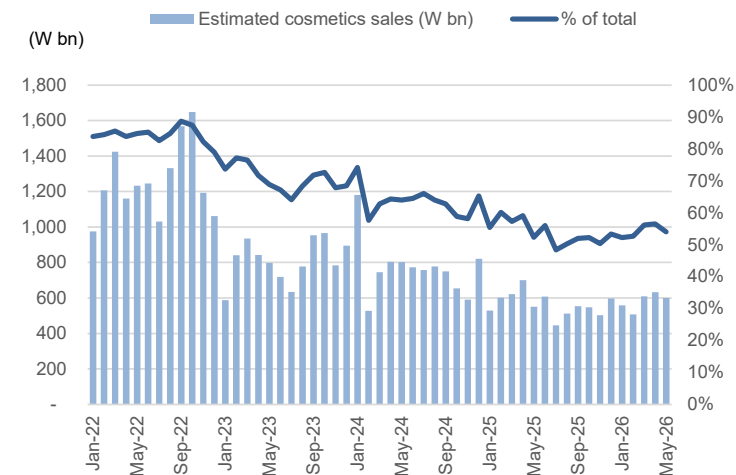
Travel retail sales breakdown by customer



Source: Korea Duty Free Shops Association (KDFA), Morgan Stanley Research. E = Morgan Stanley Research estimates.

- Total travel retail sales at W13trn in 2025, down 12% YoY
- Reseller sales mix estimated at 48% in 2025

Estimated cosmetics sales in TR channels



Source: KDFA, NSO, Morgan Stanley Research. E = Morgan Stanley Research estimates.

- Cosmetic sales at W6.8trn in 2025, down 26% YoY
- Down 3% YoY YTD in 2026 (May 2026)

Korea: P/E Based on Consensus Expectations

Amorepacific



Source: WiseFN, Morgan Stanley Research

APR

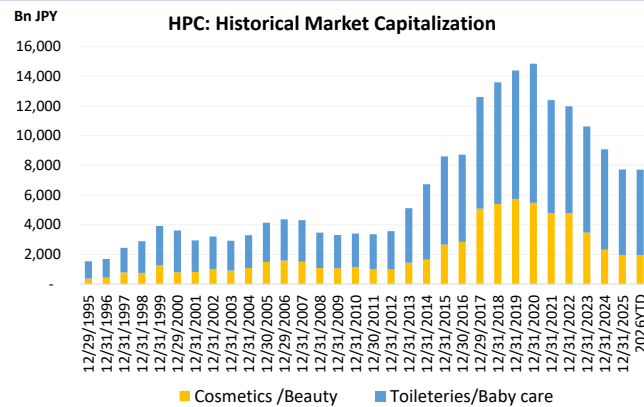


Source: WiseFN, Morgan Stanley Research. E = Morgan Stanley Research estimates.

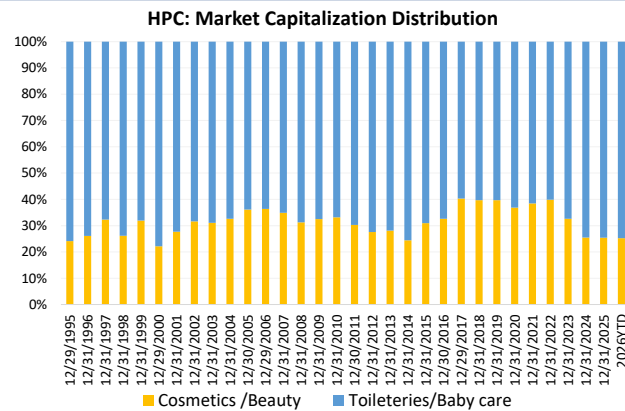
Japan Beauty Market

Japan HPC & Cosmetics: Market Cap and Earnings Trends

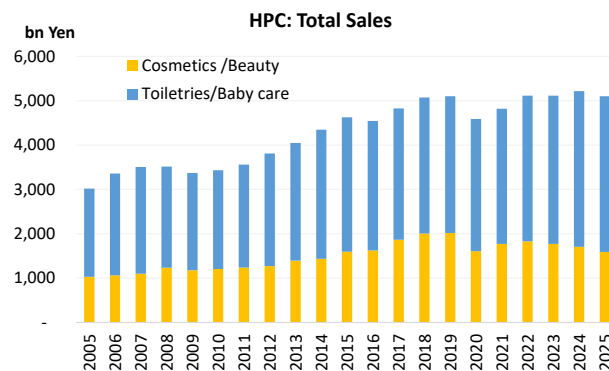
HPC industry: Market cap trends



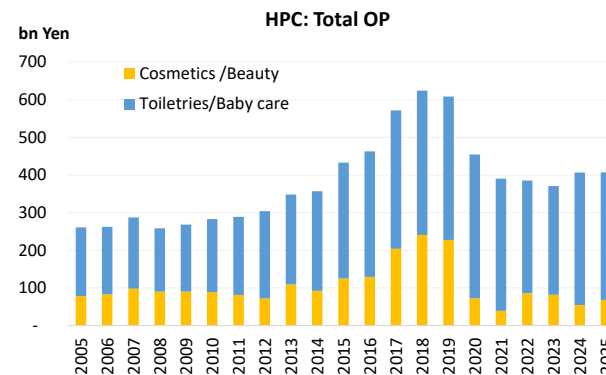
HPC industry: Market cap mix



HPC industry: Total sales



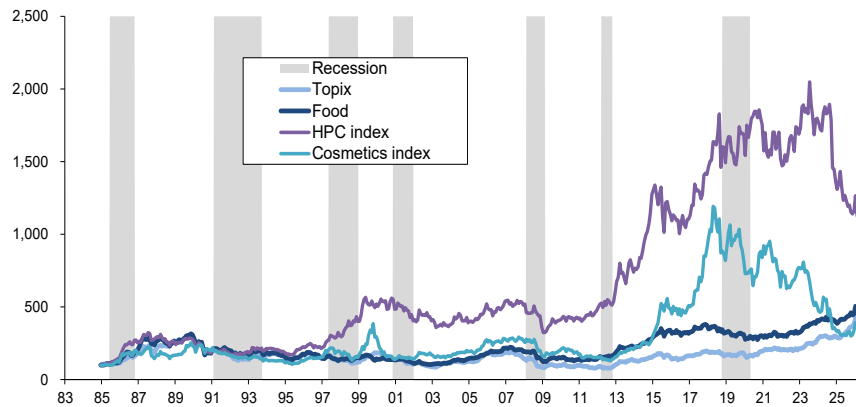
HPC industry: Total OP



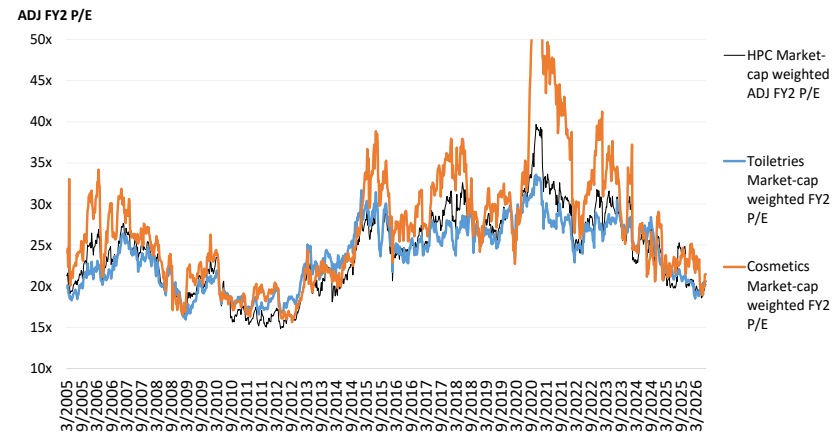
Source: Company data, Factset, Morgan Stanley Research

Japan HPC & Cosmetics: Stock Performance and P/E Trends

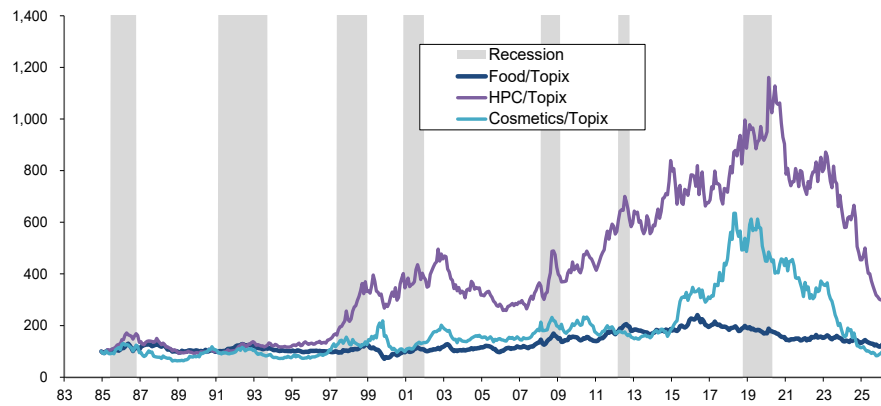
TOPIX & Food & HPC industry performance



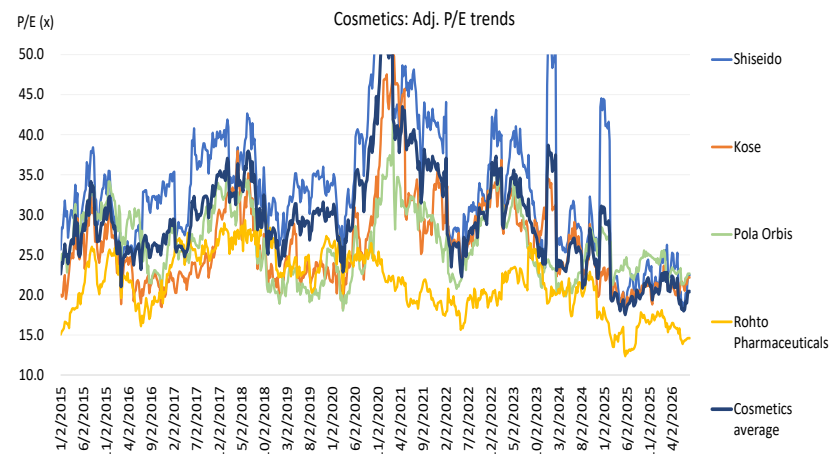
Toiletries and cosmetics valuation



Food & HPC industry performance

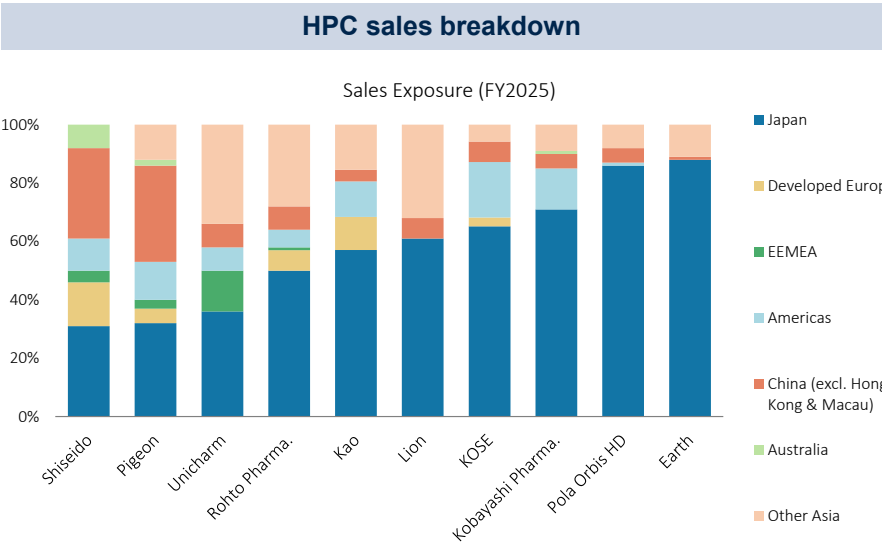


Cosmetics valuation by company

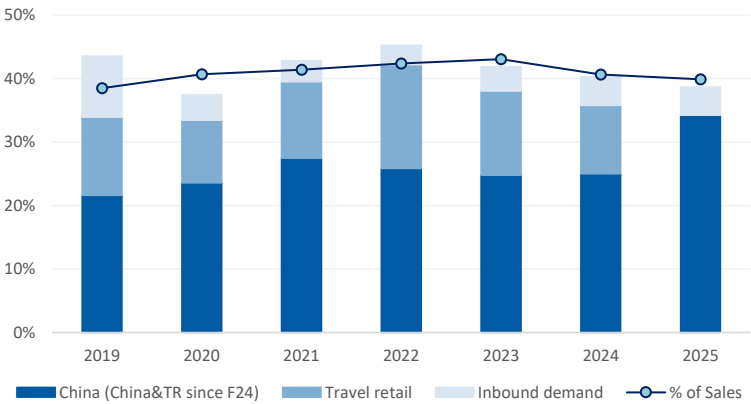


Source: Company data, Factset, Morgan Stanley Research

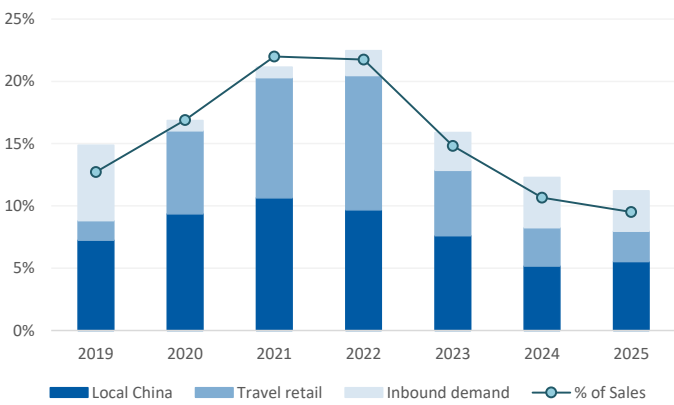
Japan HPC & Cosmetics: Sales Exposure by Region



Shiseido: Sales exposure to Chinese consumers



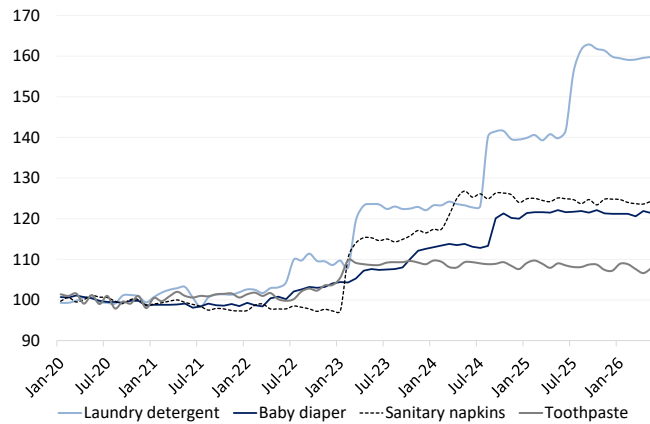
Kose: Sales exposure to Chinese consumers



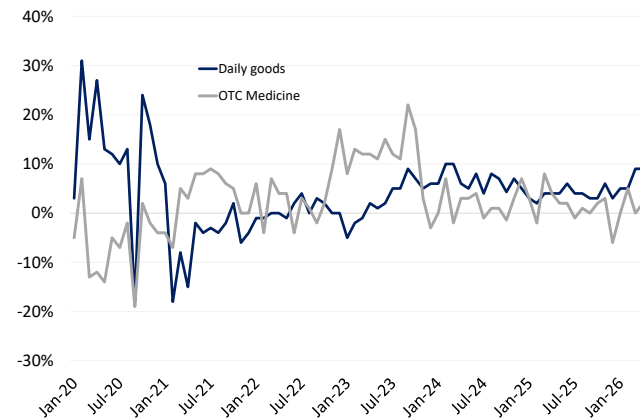
Note: Shiseido's China &TR total has been disclosed from F24. Shiseido has made several revisions in the past to segment rules, so some data are from Morgan Stanley Research estimates. TR and inbound demand of Shiseido are not entirely composed of Chinese demand, but we disregard that here.
Source: Company data, Morgan Stanley Research

Market Trends: Japan HPC Market

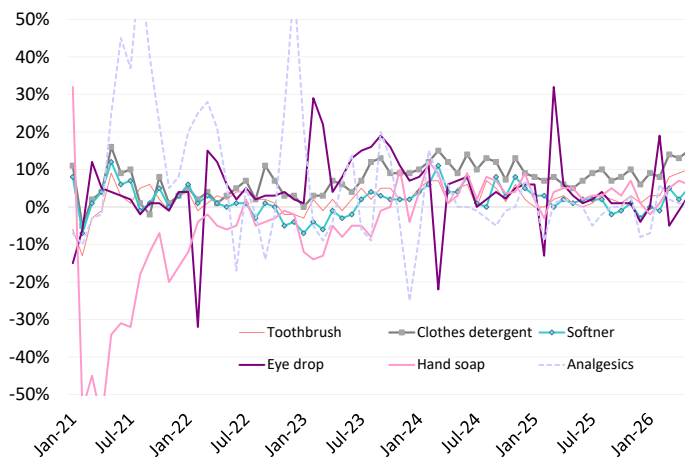
Japan key daily goods CPI (2020=100)



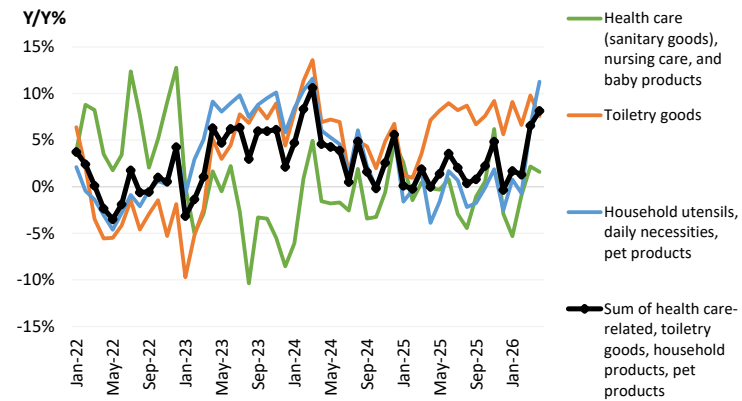
Japan: HPC & OTC pharma markets (value YoY %)



Japan market for key daily goods (value YoY %)



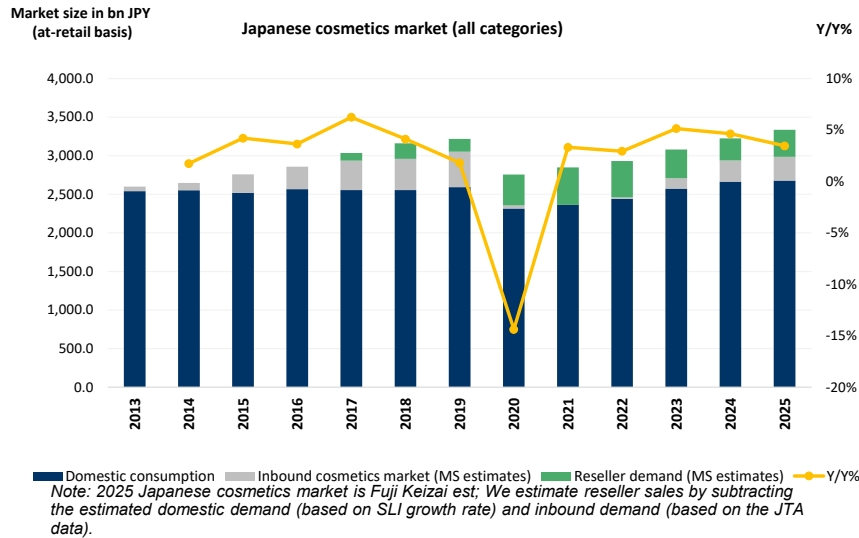
Sales growth rates for daily goods at Japanese drugstores



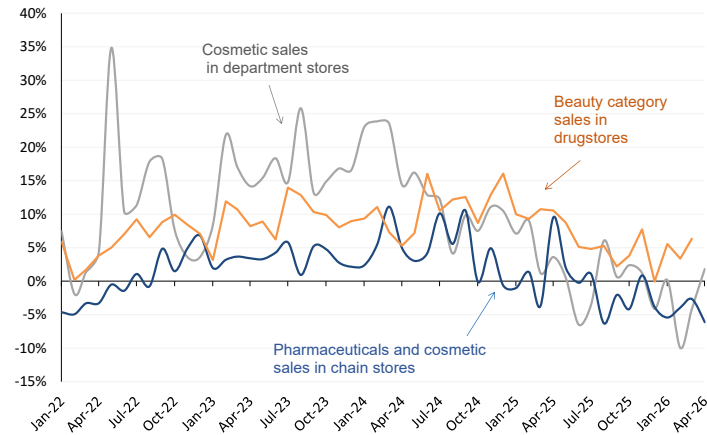
Source: MIC CPI, Lion, METI, Morgan Stanley Research

Market Trends: Japan Cosmetics Market

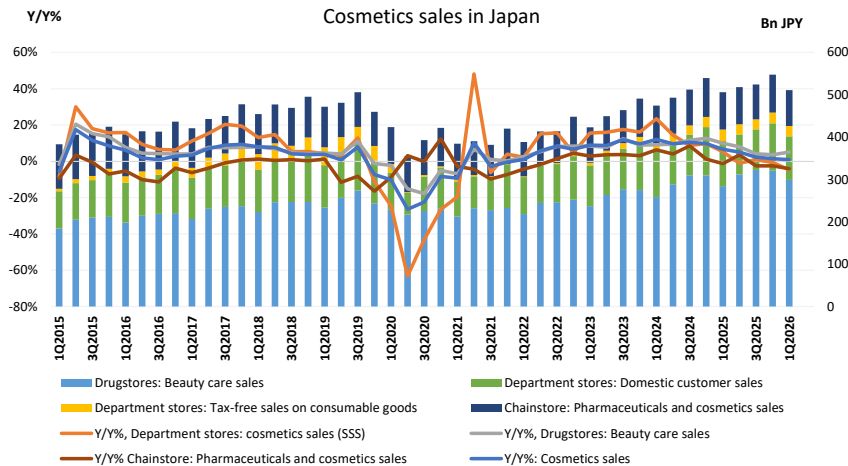
Japan domestic cosmetics market



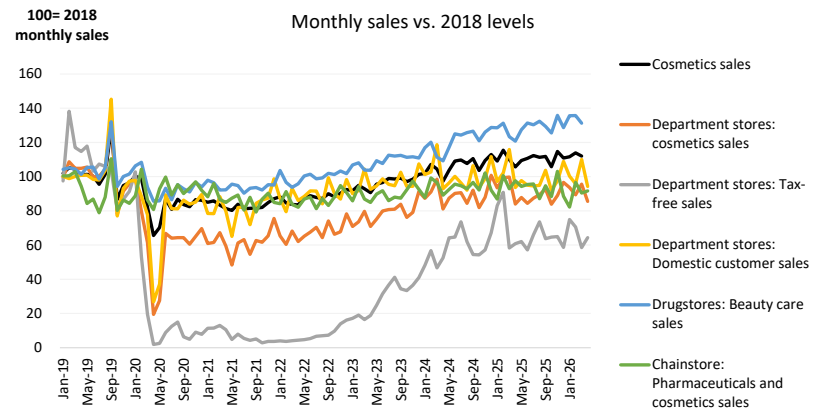
Japan cosmetics sales by channel (value YoY %)



Japan cosmetics sales by channel by Q (value YoY %)



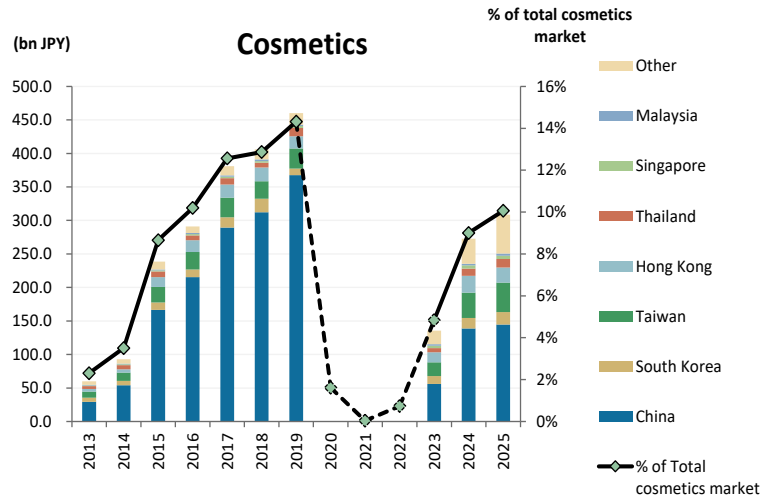
Cosmetics sales index trend



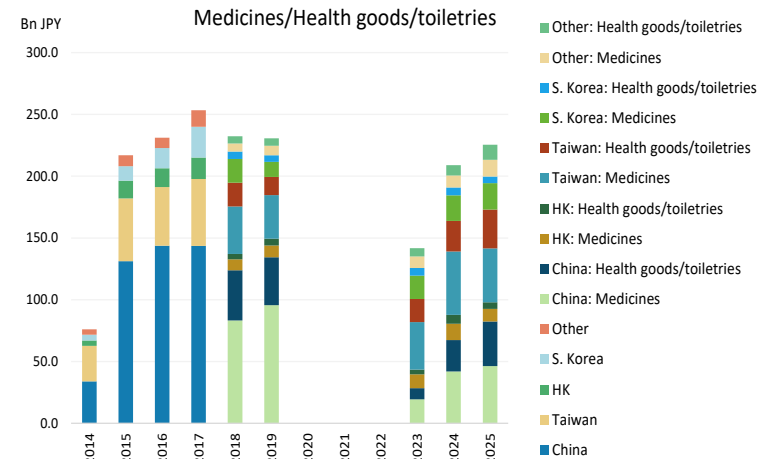
Source: SLI (from Kao data), Fuji Keizai, Japan Department Store Association, Japan Chain Store Association, METI, Morgan Stanley Research

Market Trends: Inbound Demand in the Japan Cosmetics & HPC Market

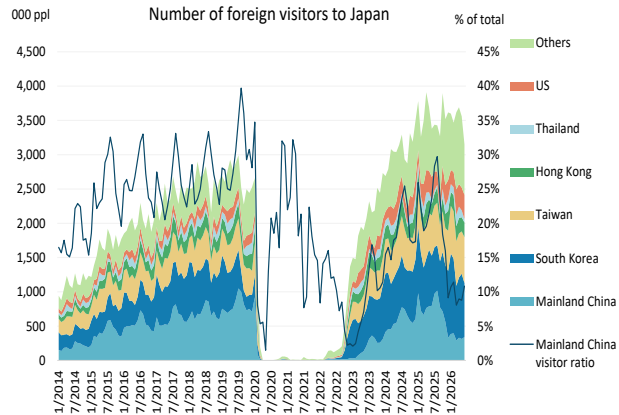
Inbound cosmetics demand



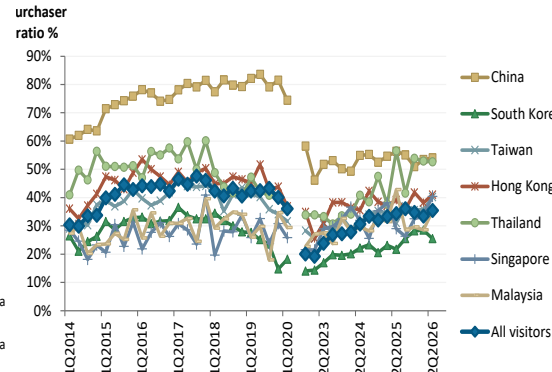
Inbound medicines/health goods/toiletries demand



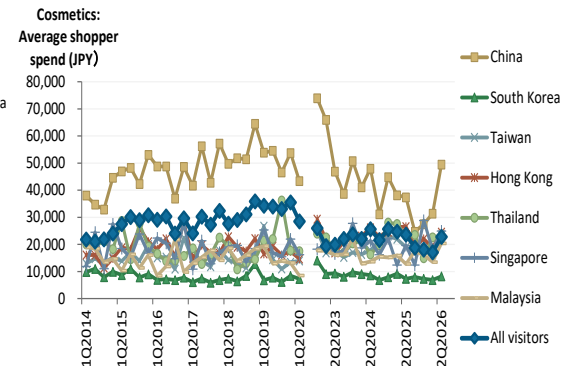
Inbound visitation to Japan



Average cosmetics shopper ratio



Average cosmetics shopper value



Source: JNTO, JTA, Morgan Stanley Research

Market Trends: Japan Inbound Cosmetics & HPC Demand (All Nationalities)

Inbound cosmetics demand – All nationalities

	All Visitors				All Visitors, Excluding Cruise Tourists															
	Number of visitors (000 people)	Total spending on shopping (mn JPY)	Cosmetic s/perfume (mn JPY)	Medicine, health goods, toiletries (mn JPY)	Total spending on shopping, ex-cruise tourists (mn JPY)	Cosmeti cs/perfu me (mn JPY)	Medicine (mn JPY)	Health goods, toiletries (mn JPY)	Per-shopper spend on shopping (JPY)	Per-shopper spend: Cosmeti cs/perfu me(JPY)	Per-shopper spend: Medicine , health goods, toiletries	Per-shopper spend: Medicine	Per-shopper spend: Health goods, toiletries	Purchaser ratio: overall shopping	Purchaser ratio: Cosmetics /perfume	Purchaser ratio: Medicine, health goods, toiletries	Purchaser ratio: Medicine	Purchaser ratio: Health goods, toiletries		
All nationalities																				USD/JPY
2014	13,413	714,747	92,810	76,096					58,531	22,317	18,350	-	-	94%	32%	32%	-	-	105.89	
2015	19,737	1,453,910	238,383	216,946					79,455	29,469	24,008	-	-	96%	42%	47%	-	-	121.06	
2016	24,039	1,426,131	290,936	231,212					62,434	28,192	19,288	-	-	97%	44%	51%	-	-	108.78	
2017	28,691	1,639,816	380,838	253,448					58,586	28,614	16,570	-	-	97%	46%	53%	-	-	112.21	
2018	31,192	1,576,261	406,107e	232,356e	1,478,946	370,541*	145,758*	70,841*	53,413	30,861	-	13,886	15,042	96%	42%	-	36%	16%	110.50	
2019	31,882	1,669,025	460,244e	230,710e	1,592,230	431,077*	151,156*	66,594*	55,277	34,176	-	14,637	14,361	96%	42%	-	35%	16%	109.35	
2020	4,116	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	-	N/A	N/A	N/A	N/A	N/A	-	N/A	N/A	106.82
2021	246	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	-	N/A	N/A	N/A	N/A	N/A	-	N/A	N/A	109.82
2022	3,832	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	-	N/A	N/A	N/A	N/A	N/A	-	N/A	N/A	131.50
2023	25,066	1,403,469	135,412e	141,798e	1,397,003	134,560*	96,717*	44,274*	57,663	21,827	-	14,425	17,290	97%	25%	-	27%	10%	140.62	
1Q2024	8,558	522,022	53,785e	41,074e	515,961	52,859*	27,931*	12,598*	62,997	22,376	-	11,580	14,310	98%	28%	-	29%	11%	148.31	
2Q2024	9,224	661,232	72,473e	57,509e	646,625	69,810*	39,671*	16,378*	73,754	25,297	-	15,288	18,860	99%	31%	-	29%	10%	155.86	
3Q2024	9,098	548,345	65,151e	44,792e	533,765	62,815*	28,153*	15,268*	62,619	21,597	-	11,932	14,878	98%	34%	-	27%	12%	149.59	
4Q2024	9,989	663,555	81,273e	65,287e	655,805	79,790*	38,133*	26,220*	68,418	25,516	-	14,394	20,545	99%	32%	-	27%	13%	152.40	
2024	36,870	2,395,153	272,708e	208,944e	2,352,156	265,857*	134,183*	70,620*	67,076	23,775	-	13,368	17,393	98%	31%	-	28%	11%	151.54	
1Q2025	10,538	671,339	85,355e	62,162e	664,588	84,163*	36,934*	24,483*	66,147	24,740	-	12,199	19,292	99%	33%	-	30%	12%	152.81	
2Q2025	10,981	654,664	85,122e	62,233e	644,884	83,372*	36,210*	24,749*	62,219	23,099	-	12,763	17,541	98%	34%	-	27%	13%	144.51	
3Q2025	10,133	550,319	68,856e	50,030e	533,651	66,251*	28,586*	19,712*	56,401	18,897	-	11,385	14,620	98%	36%	-	26%	14%	147.46	
4Q2025	11,032	677,734	67,930e	50,136e	671,727	67,205*	30,360*	19,232*	63,207	18,023	-	11,076	13,671	99%	35%	-	25%	13%	154.08	
2025	42,684	2,554,056	307,263e	224,561e	2,514,850	302,162*	132,603*	88,519*	62,094	21,128	-	11,882	16,223	98%	35%	-	27%	13%	149.71	
1Q2026	10,684	590,356	61,994e	45,762e	588,173	61,790*	26,129*	19,448*	56,714	17,605	-	9,739	14,221	98%	33%	-	25%	13%	156.96	
2Q2026	10,401	673,067	82,921e	48,636e	670,859	82,681*	29,382*	18,998*	66,116	22,766	-	11,711	13,603	99%	35%	-	24%	14%	159.31	

Source: JNTO, JTA, FactSet, Morgan Stanley Research

Market Trends: Japan Inbound Cosmetics & HPC Demand (China)

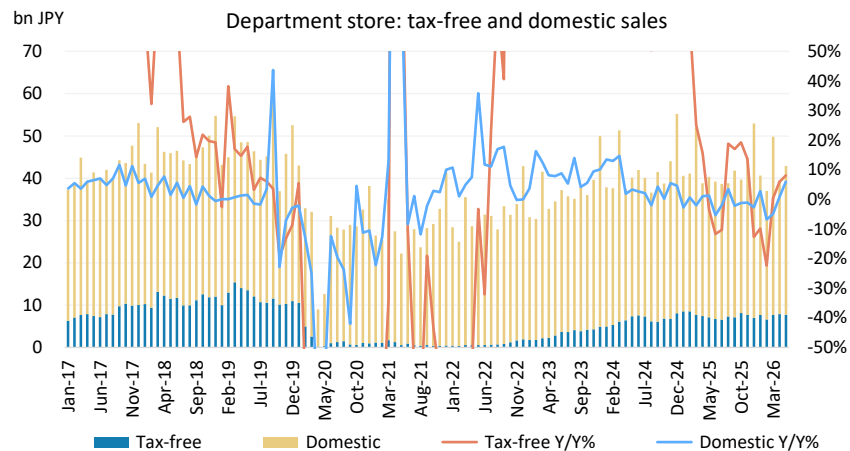
Inbound cosmetics demand – Mainland China

	All Visitors from Mainland China				All Visitors from Mainland China, Excluding Cruise Tourists															
	Number of visitors (000 people)	Total spending on shopping (mn JPY)	Cosmetic s/perfume (mn JPY)	Medicine, health goods, toiletries (mn JPY)	Total spending on shopping, ex-cruise tourists (mn JPY)	Cosmeti cs/perfu me (mn JPY)	Medicine (mn JPY)	Health goods, toiletries (mn JPY)	Per-shopper spend on shopping (JPY)	Per-shopper spend: Cosmeti cs/perfu me(JPY)	Per-shopper spend: Medicine , health goods, toiletries	Per-shopper spend: Medicine	Per-shopper spend: Health goods, toiletries	Purchaser ratio: overall shopping	Purchaser ratio: Cosmetics /perfume	Purchaser ratio: Medicine, health goods, toiletries	Purchaser ratio: Medicine	Purchaser ratio: Health goods, toiletries		
Chinese visitors					FX: CNY/JPY															
2014	2,409	306,819	54,117	33,903					134,067**	37,315**	29,283**	-	-	99%	63%	50%	-	-	17.19	
2015	4,994	806,586	166,498	131,239					170,526**	47,190**	39,478**	-	-	99%	74%	70%	-	-	19.27	
2016	6,373	783,203	215,518	143,683					125,670**	45,236**	31,549**	-	-	99%	76%	72%	-	-	16.38	
2017	7,356	865,245	289,326	143,548					119,239**	49,153**	26,496**	-	-	99%	80%	73%	-	-	16.61	
2018	8,380	810,980	312,119e	123,775e	726,066	279,313*	74,563*	36,252*	113,524	54,224	-	23,490	24,876	99%	80%	-	49%	23%	16.71	
2019	9,594	936,523	367,754e	134,447e	869,844	341,449*	88,408*	35,851*	109,414	52,142	-	21,760	20,203	99%	82%	-	51%	22%	27.39	
2020	1,069	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	-	N/A	N/A	N/A	N/A	-	N/A	N/A	15.48	
2021	42	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	-	N/A	N/A	N/A	N/A	-	N/A	N/A	17.03	
2022	189	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	-	N/A	N/A	N/A	N/A	-	N/A	N/A	19.51	
2023	2,425	291,167	56,137e	28,362e	287,604	55,450*	19,094*	8,921*	123,786	44,995	-	21,922	23,820	98%	52%	-	37%	16%	19.84	
1Q2024	1,328	162,038	25,367e	10,532e	157,474	24,653*	7,162*	3,073*	134,329	41,308	-	15,813	17,563	99%	50%	-	38%	15%	20.63	
2Q2024	1,745	218,615	41,903e	18,484e	206,371	39,556*	10,706*	6,743*	138,421	46,663	-	18,938	32,121	99%	56%	-	38%	14%	21.52	
3Q2024	2,175	191,946	34,786e	16,891e	180,604	32,730*	10,263*	5,630*	96,284	31,031	-	18,251	21,657	99%	56%	-	30%	14%	20.87	
4Q2024	1,734	191,388	36,907e	21,348e	184,826	35,642*	11,816*	8,800*	121,956	44,602	-	21,140	28,607	99%	52%	-	37%	20%	21.19	
2024	6,981	763,987	138,891e	67,248e	729,276	132,580*	39,947*	24,246*	120,453	40,196	-	18,671	25,456	99%	54%	-	35%	16%	21.05	
1Q2025	2,365	222,200	45,004e	26,219e	216,595	43,869*	13,518*	12,040*	104,275	38,179	-	18,174	27,681	99%	55%	-	35%	21%	21.00	
2Q2025	2,353	201,200	43,098e	24,963e	193,782	41,509*	13,668*	10,375*	95,570	36,128	-	18,440	23,233	99%	56%	-	36%	22%	19.99	
3Q2025	2,769	198,300	35,632e	18,607e	185,575	33,346*	10,150*	7,263*	77,249	25,099	-	12,845	16,718	100%	55%	-	33%	18%	20.60	
4Q2025	1,609	140,300	20,958e	12,471e	136,206	20,346*	7,134*	4,973*	95,463	28,024	-	15,707	17,080	99%	50%	-	31%	20%	21.73	
2025	9,096	762,000	144,692e	82,345e	732,157	139,069*	44,470*	34,650*											20.83	
1Q2026	1,074	89,000	18,039e	7,753e	88,403	17,919*	4,575*	3,126*	86,057	33,375	-	14,784	18,595	98%	51%	-	30%	16%	22.66	
2Q2026	984	103,000	25,972e	8,791e	102,842	25,932*	5,230*	3,547*	106,981	49,468	-	18,396	18,989	99%	54%	-	29%	19%	23.41	

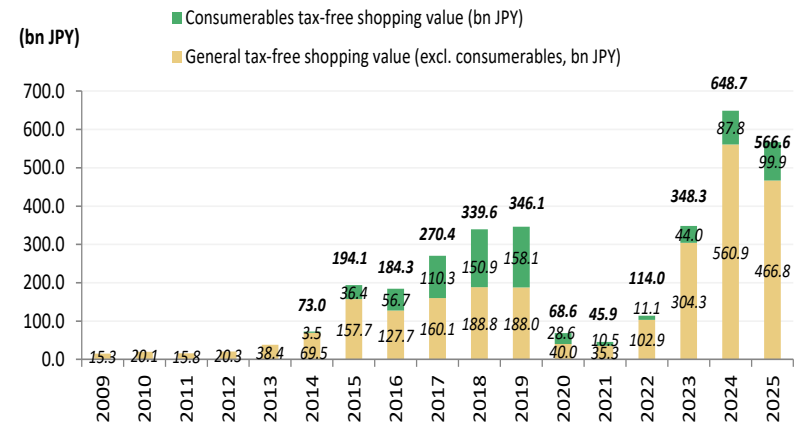
Source: JNTO, JTA, FactSet, Morgan Stanley Research

Market Trends: Inbound Demand at Department Stores in Japan

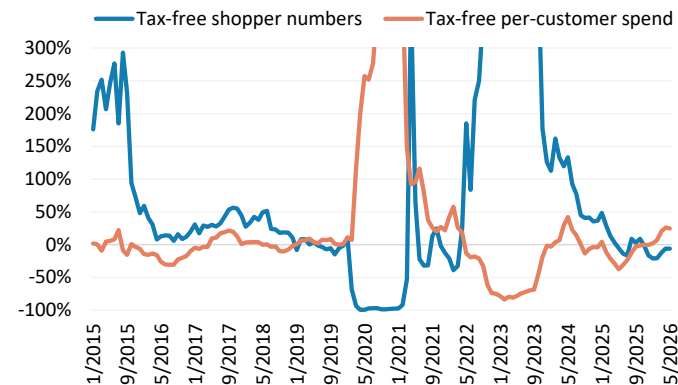
Japan department store cosmetics sales: Domestic and tax-free sales



Tax-free sales at department stores in Japan: Annual, total



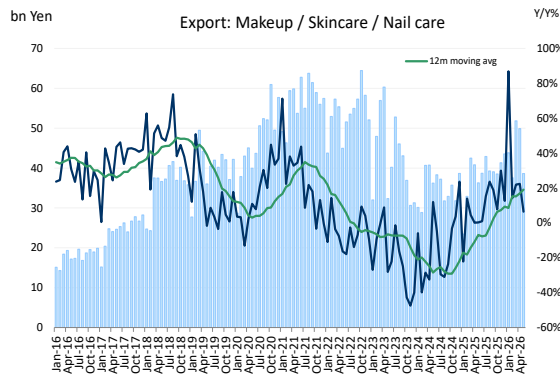
Tax-free sales at department stores in Japan: Shopper numbers and per-customer spend



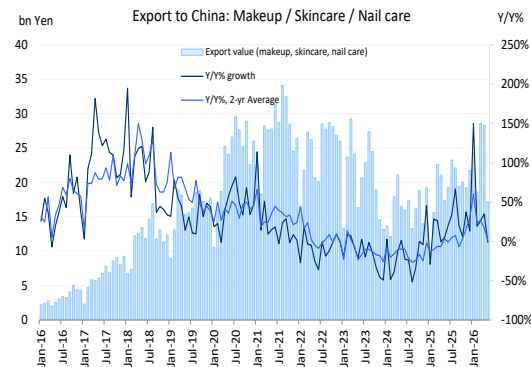
Source: Morgan Stanley Research, Japan Department Store Association

Market Trends: Japan Cosmetics Export & Import

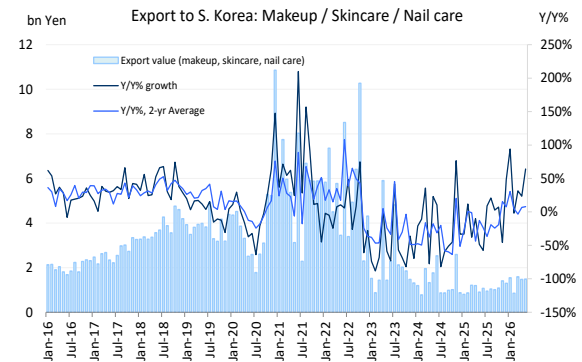
Japan's cosmetics exports



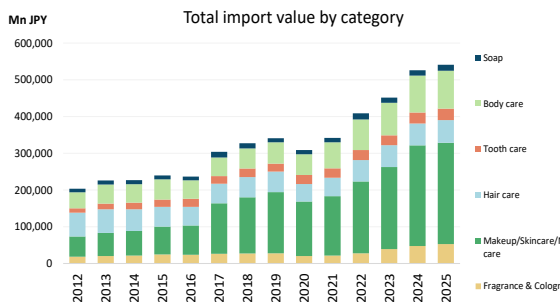
Exports to mainland China



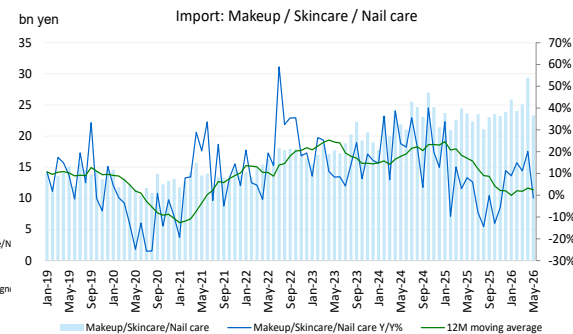
Exports to South Korea



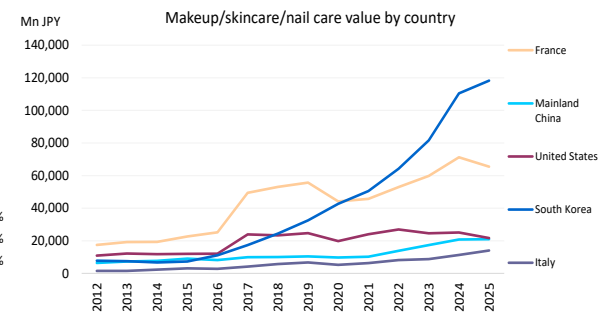
Japan's cosmetics imports



Imports: Makeup/skin & nail care

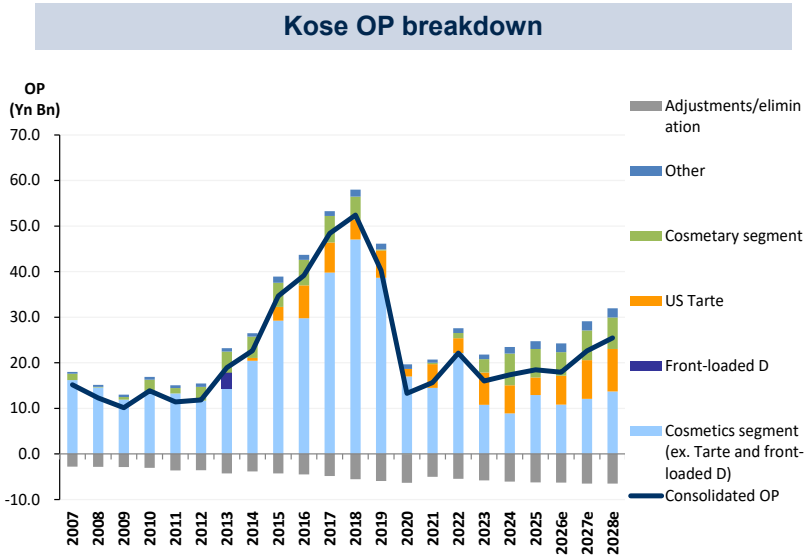
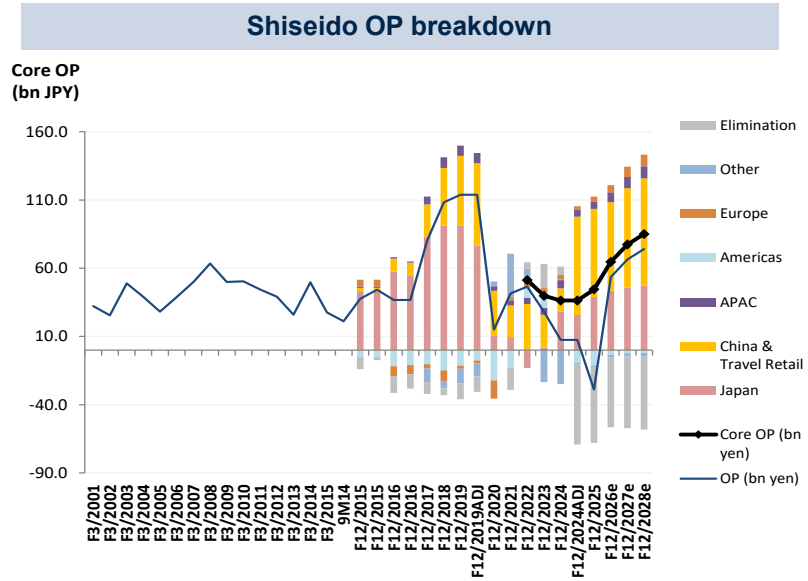


Makeup/skin & nail care by origin



Source: Trade Statistics of Japan Ministry of Finance, Morgan Stanley Research

Japan: Shiseido & Kose's Profit Drivers



Source: Company data, Morgan Stanley Research, e=Morgan Stanley Research estimates

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Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Eastroc Beverages, Laopu Gold, Midea Group Co Ltd., Samsonite Group, WH Group.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from ANTA Sports Products, Chagee Holdings Ltd, Crystal International Group Ltd., Eastroc Beverages, Foshan Haitian Flavouring and Food, Giant Biogene Holding Co Ltd, Gongniu Group Co Ltd, Gree Electric Appliances Inc of Zhuhai, Haidilao International Holding Ltd, Haier Smart Home Co Ltd, Health and Happiness (H&H), Hengan International Group, Laopu Gold, Midea Group Co Ltd., Muyuan Foodstuff Co. Ltd, Nongfu Spring Co Ltd, Pop Mart International Group, Proya Cosmetics Co. Ltd., Samsonite Group, Sun Art Retail Group Limited, Super Hi, Techtronic Industries Co Ltd, Topsports International Holdings Ltd, Weilong Delicious Global Holdings Ltd, WH Group, ZJLD Group.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from ANTA Sports Products, Bosideng International Holdings Limited, Chow Tai Fook Jewellery Group Ltd, Gree Electric Appliances Inc of Zhuhai, Haidilao International Holding Ltd, Haier Smart Home Co Ltd, Health and Happiness (H&H), Midea Group Co Ltd., Pop Mart International Group, Samsonite Group, Stella International Holdings Ltd, Techtronic Industries Co Ltd, Topsports International Holdings Ltd, Uni-President China, WH Group, Yanjing Brewery, Yue Yuen Industrial Hldg, Yum China Holdings Inc..

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Group, Yanjing Brewery, Yue Yuen Industrial Hldg, Yum China Holdings Inc..

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Global Stock Ratings Distribution

(as of June 30, 2026)

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Coverage Universe			Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: China/Hong Kong Consumer

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/22/2026)
Dustin Wei		
ANTA Sports Products (2020.HK)	++	HK\$75.90
Bosideng International Holdings Limited (3998.HK)	O (11/27/2024)	HK\$4.85
C&S Paper Co Ltd (002511.SZ)	U (09/22/2021)	Rmb7.08
Chacha Food Co Ltd (002557.SZ)	U (02/20/2025)	Rmb19.33
Giant Biogene Holding Co Ltd (2367.HK)	O (08/08/2024)	HK\$29.60
Health and Happiness (H&H) (1112.HK)	E (07/12/2021)	HK\$15.05
Hengan International Group (1044.HK)	E (05/06/2021)	HK\$23.62
Li Ning (2331.HK)	O (10/09/2019)	HK\$14.85
Mao Geping Cosmetics Co., Ltd (1318.HK)	O (03/10/2026)	HK\$57.20
Pop Mart International Group (9992.HK)	O (05/17/2021)	HK\$159.30
Proya Cosmetics Co. Ltd. (603605.SS)	O (10/12/2021)	Rmb58.49
Samsonite Group (1910.HK)	O (06/15/2020)	HK\$13.44
Shanghai Jahwa United Co. Ltd. (600315.SS)	U (07/07/2023)	Rmb17.68
Sun Art Retail Group Limited (6808.HK)	E (03/05/2019)	HK\$1.25
Topsports International Holdings Ltd (6110.HK)	O (11/13/2019)	HK\$1.45
Weilong Delicious Global Holdings Ltd (9985.HK)	O (06/11/2025)	HK\$7.61
Yonghui Superstores (601933.SS)	U (05/18/2023)	Rmb3.09
Hildy Ling		
Angel Yeast Co. Ltd. (600298.SS)	E (05/21/2026)	Rmb39.03
Beijing Roborock Technology Co Ltd (688169.SS)	O (09/25/2024)	Rmb100.80
China Tourism Group Duty Free (1880.HK)	E (12/13/2023)	HK\$50.05
China Tourism Group Duty Free (601888.SS)	E (12/13/2023)	Rmb55.70
Chow Tai Fook Jewellery Group Ltd (1929.HK)	O (03/04/2025)	HK\$12.33
Chow Tai Seng Jewellery Co Ltd (002867.SZ)	U (03/04/2025)	Rmb12.41
Ecovacs Robotics Co Ltd (603486.SS)	O (07/09/2026)	Rmb54.33
Foshan Haitian Flavouring and Food (603288.SS)	E (07/28/2025)	Rmb36.45
Foshan Haitian Flavouring and Food (3288.HK)	E (05/21/2026)	HK\$31.82
Haidilao International Holding Ltd (6862.HK)	O (05/26/2021)	HK\$11.34
Hangzhou Robam Appliances Co Ltd (002508.SZ)	U (02/21/2024)	Rmb15.55
Laopu Gold (6181.HK)	O (10/20/2025)	HK\$397.20

Super Hi (HDL.O)	E (01/14/2025)	US\$13.23
Zhejiang Supor Co. Ltd. (002032.SZ)	E (01/17/2022)	Rmb44.92
Lillian Lou		
Anhui Gujing Distillery Company Limited (000596.SZ)	U (02/13/2026)	Rmb97.55
Budweiser Brewing Company APAC Ltd (1876.HK)	O (11/04/2019)	HK\$6.69
Chagee Holdings Ltd (CHA.O)	O (06/02/2025)	US\$11.57
China Mengniu Dairy (2319.HK)	O (09/14/2017)	HK\$18.32
China Resources Beer Holdings Co Ltd (0291.HK)	O (12/11/2018)	HK\$24.04
Chongqing Brewery Co. Ltd. (600132.SS)	U (07/30/2021)	Rmb44.59
Eastroc Beverages (605499.SS)	O (03/12/2026)	Rmb130.80
Eastroc Beverages (9980.HK)	O (03/12/2026)	HK\$112.40
Gree Electric Appliances Inc of Zhuhai (000651.SZ)	E (07/09/2026)	Rmb40.86
Haier Smart Home Co Ltd (600690.SS)	E (01/17/2022)	Rmb21.92
Haier Smart Home Co Ltd (6690.HK)	E (01/17/2022)	HK\$21.32
Kweichow Moutai Company Ltd. (600519.SS)	O (10/17/2014)	Rmb1,305.00
Luzhou Lao Jiao Co. Ltd (000568.SZ)	E (01/23/2019)	Rmb86.80
Midea Group Co Ltd. (0300.HK)	O (11/01/2024)	HK\$94.90
Midea Group Co Ltd. (000333.SZ)	O (01/17/2022)	Rmb84.80
Muyuan Foodstuff Co. Ltd (2714.HK)	O (03/17/2026)	HK\$33.50
Muyuan Foodstuff Co. Ltd (002714.SZ)	O (03/17/2026)	Rmb39.44
Nongfu Spring Co Ltd (9633.HK)	E (07/30/2021)	HK\$42.90
Shanxi Xinghuacun Fen Wine Factory Co. (600809.SS)	O (10/28/2020)	Rmb125.00
Shuanghui Development (000895.SZ)	U (03/16/2021)	Rmb25.00
Tingyi (Cayman Islands) (0322.HK)	E (07/25/2025)	HK\$11.48
Tsingtao Brewery Co Ltd (0168.HK)	E (11/01/2024)	HK\$45.72
Tsingtao Brewery Co Ltd (600600.SS)	E (02/28/2024)	Rmb53.84
Uni-President China (0220.HK)	E (07/25/2025)	HK\$7.32
Want Want China Holdings Ltd (0151.HK)	E (11/29/2023)	HK\$3.48
WH Group (0288.HK)	O (02/24/2025)	HK\$8.35
Wuliangye Yibin Company Ltd. (000858.SZ)	E (08/15/2024)	Rmb74.75
Yanghe Brewery (002304.SZ)	U (01/05/2021)	Rmb40.83
Yanjing Brewery (000729.SZ)	U (09/02/2015)	Rmb12.55
Yili Industrial (600887.SS)	O (01/29/2014)	Rmb27.38
Yum China Holdings Inc. (YUMC.N)	O (03/20/2018)	US\$42.77
ZJLD Group (6979.HK)	E (02/13/2026)	HK\$8.03
Terence Cheng		
Chervon Holdings Ltd. (2285.HK)	E (04/12/2024)	HK\$18.50
Crystal International Group Ltd. (2232.HK)	E (06/23/2025)	HK\$5.77
Gongniu Group Co Ltd (603195.SS)	O (05/08/2023)	Rmb38.68
Hangzhou Greatstar Industrial Co Ltd (002444.SZ)	E (10/26/2022)	Rmb29.72

Huali Industrial Group Co (300979.SZ)	U (02/10/2026)	Rmb33.06
Shenzhou International Group Holdings (2313.HK)	O (07/13/2017)	HK\$42.78
Stella International Holdings Ltd (1836.HK)	E (06/23/2025)	HK\$14.05
Techtronic Industries Co Ltd (0669.HK)	O (12/05/2019)	HK\$129.90
Yue Yuen Industrial Hldg (0551.HK)	E (09/14/2021)	HK\$13.52

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

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